UNIT I – Ethics

23AS2701a · Business Ethics & Corporate Governance (JNTUA R23)

I. Introduction & Meaning of Ethics

- Word **Ethics** ← Greek **"ethos"** = character, custom, habit
- Branch of philosophy → studies **right vs wrong, good vs bad** conduct
- Gives **standards / principles** that guide human behaviour

> **Definition:** Ethics = set of moral principles & values that govern the conduct of an individual or group → "what ought to be done".

- Business context → ethics = applying moral standards to **business decisions**
- Core question: "Is it **legal**? Is it **fair**? Can I defend it publicly?"

Ethics vs Morals vs Values vs Law

Basis	Ethics	Morals	Values	Law
Source	Society, profession, org.	Individual conscience, religion, culture	Upbringing, experience	State / legislature
Nature	Rational, external rules	Personal, internal beliefs	Deep beliefs of worth	Written, codified
Enforced by	Codes, peer pressure	Guilt, conscience	Self	Courts, police, penalty
Example	Doctor's confidentiality	Honesty is right	Integrity, respect	Companies Act 2013

> ★ **Important**
> Law = **minimum** standard (what you MUST do); Ethics = **higher** standard (what you SHOULD do). Something legal can still be unethical (e.g. misleading but legal ads).



Fig 1: Relationship between Ethics and Law (law is a subset of ethical expectations)

2. Nature of Ethics

- **Normative** science → tells how people ought to behave
- **Human-centric** → applies only to conscious, free choice
- **Universal** core (honesty, justice) but **relative** in details across cultures
- **Dynamic** → changes with time/society (e.g. child labour, environment)
- **Voluntary** → self-regulated, not forced by state
- **Relates to values** → based on social & moral values
- **Multi-disciplinary** → philosophy, law, psychology, religion
- **Practical** → guides everyday decisions; both **individual & group**
- Benefits **all stakeholders** → long-term perspective

3. Scope of Ethics

- **Personal life** → family, friends, honesty
- **Professional life** → doctors, lawyers, CAs, engineers
- **Business** → marketing, finance, HR, production, operations
- **Society** → environment, human rights, justice, poverty
- **Government / politics** → corruption, transparency
- **Science & technology** → AI, data privacy, cloning, bioethics
- **Media** → fake news, paid news, advertising

Scope in functional areas of business

Area	Ethical concerns
Marketing	False ads, unsafe products, pricing, privacy
Finance	Insider trading, window-dressing, fraud (Satyam 2009)
HR	Discrimination, harassment, fair wages, privacy
Production	Quality, safety, pollution, child labour
IT / Data	Data breach, surveillance, copyright

4. Significance (Importance) of Ethics

- Builds **reputation & brand image** → long-term goodwill
- Wins **customer trust & loyalty** → repeat sales
- **Attracts & retains talent** → morale, low attrition
- Attracts **investors** → better governance = lower risk
- **Avoids legal penalties**, scandals, litigation costs
- Better **decision-making** → clear guidelines for dilemmas
- Protects **society & environment** → sustainability
- Creates healthy **competition** & trust in markets
- **Ethics pays** → "Honesty is the best policy" in long run

Mnemonic – "TRUST": Trust · Reputation · Understanding of law · Sustainability · Talent retention

5. Loyalty and Ethical Behaviour

- **Loyalty** = faithful commitment / allegiance to a person, group, organisation or cause
- Shown by: dedication, confidentiality, putting org interest above personal gain
- Loyalty is a **virtue** only when it is **consistent with ethics**

Types / Objects of loyalty

Loyalty to	Meaning / duty
Employer	Work sincerely, protect trade secrets, avoid conflict of interest
Profession	Follow professional code (ICAI, ICSI, Bar Council)
Customers	Fair price, quality, honest information
Colleagues / team	Cooperation, no backstabbing
Society	Law, environment, public safety

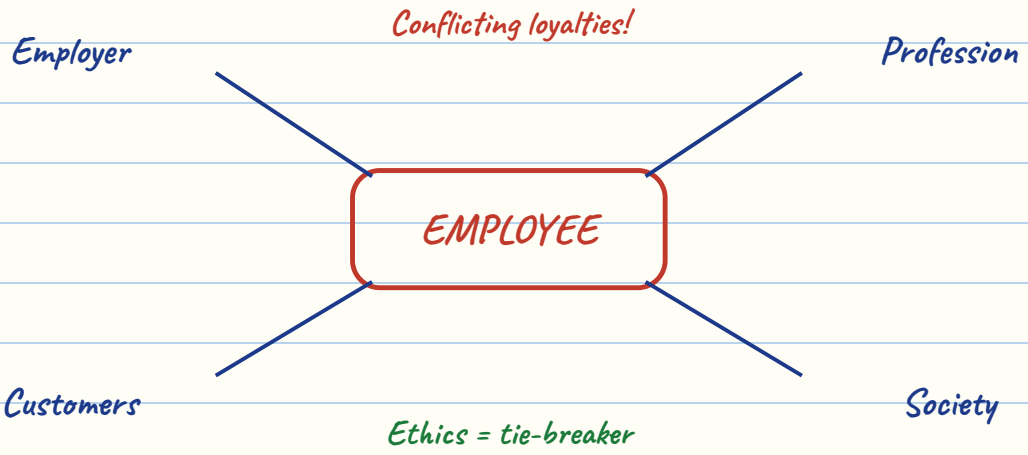


Fig 2: Multiple loyalties & the ethical conflict

Conflict between loyalty & ethics

- Employer asks to hide defects / bribe officials → **loyalty vs honesty**
- Org harms environment → **loyalty vs social duty**
- Blind loyalty ("yes-man") → groupthink, scandals (Enron, Satyam)
- Resolution → loyalty to **principles > persons**; use internal channels first

Whistle-blowing

- **Whistle-blowing** = employee discloses illegal/unethical practices of org to authorities/public
- Types: **Internal** (to management) · **External** (regulator, media)
- Indian law: **Whistle Blowers Protection Act 2014**; Sec 177 Companies Act 2013 (vigil mechanism); SEBI LODR Reg. 22
- Example: **Sanjiv Chaturvedi** (AIIMS), **Satyendra Dubey** (NHAI, killed 2003), Edward Snowden
- Guidelines → good faith, evidence, follow chain, protect identity

> ★ Important
> Whistle-blowing = ethical **duty** when harm is serious & internal route fails; protects public interest over narrow loyalty.

Ethical behaviour – traits

- **Honesty & integrity** – truthful words = deeds
- **Fairness & justice** – equal treatment, no bias
- **Accountability & responsibility** – own the outcome
- **Respect** for people, **transparency**, **confidentiality**
- **Compassion, courage, law-abiding, trustworthiness**
- Test → **Newspaper test**: would I be OK if this appeared on the front page?

6. Value Systems

- **Values** = enduring beliefs that a specific mode of conduct / end-state is preferable (Rokeach)
- **Value system** = ranking of values by importance → guides choices, attitudes, behaviour

Sources of values

- Family & parents · Religion · Culture/tradition · Education · Peers · Media · Role models · Work experience · Law

Rokeach Value Survey (1973) – 36 values

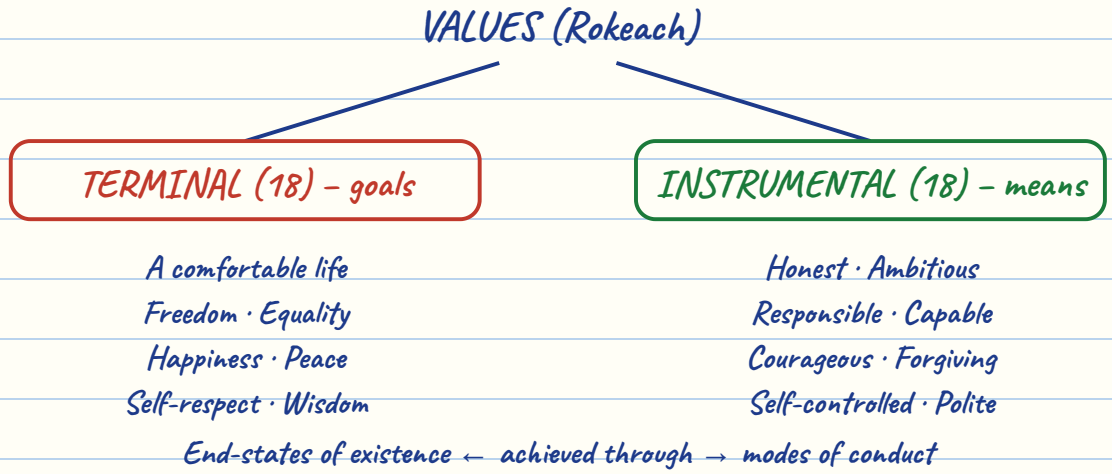


Fig 3: Terminal vs Instrumental values

Terminal values	Instrumental values
Desirable **end-states** (goals in life)	Preferable **modes of behaviour** (means)
Personal & social: peace, freedom	Moral & competence: honest, capable

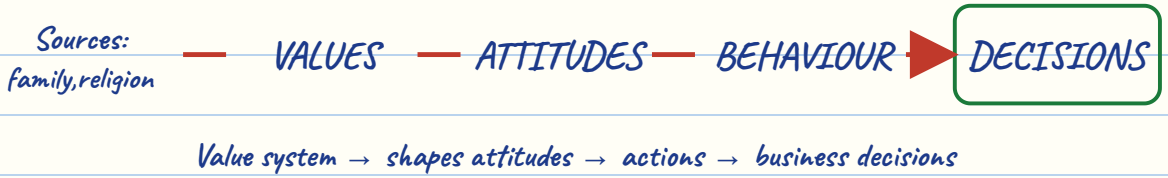


Fig 4: Value system chain

- Other classification: **Allport** – theoretical, economic, aesthetic, social, political, religious
- Indian values: **Satya, Dharma, Ahimsa, Seva, Nishkama karma** (Gita) · Gandhi's **"seven social sins"** incl. "commerce without morality"
- Organisational values: customer focus, integrity, innovation, teamwork, quality (e.g. Tata: "Leadership with Trust")

7. Business Ethics

Definition: Business ethics = application of moral principles & standards to **business behaviour, policies and decisions**, ensuring fairness to all stakeholders.
Velasquez: study of moral standards and how they apply to business institutions & people in them.

- Concerned with: honesty in dealing, fair trade, no exploitation, product safety, accountability
- Stakeholders → owners, employees, customers, suppliers, govt, society, environment

Characteristics of business ethics

- **Code of conduct** – written / unwritten standards
- **Based on moral values**, not just profit
- **Voluntary** · beyond law (self-discipline)
- **Protects stakeholders**; balances conflicting interests
- **Relative** (varies by society) & **dynamic**
- **Long-term orientation**; **applies at all levels** (top to bottom)
- Reflects **organisational culture**; needs **education & training**

8. Types of Ethics

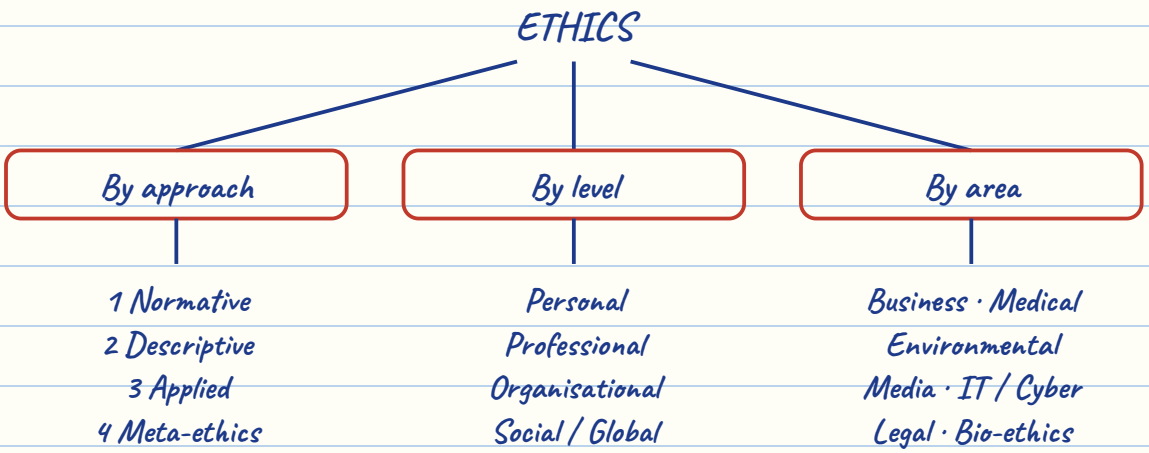


Fig 5: Types of ethics (classification)

A. By approach

Type	Meaning
Normative	Sets norms: what SHOULD be done. Theories: utilitarian, deontological (Kant), virtue, justice
Descriptive	Describes what people actually believe/do (empirical, sociology)
Applied	Applies theory to specific issues: business, medical, environment
Meta-ethics	Nature of "good", "right" – meaning of moral terms

B. By level

- **Personal ethics** → individual's own morals, conscience
- **Professional ethics** → code of a profession (doctor – Hippocratic oath; CA – ICAI code)
- **Organisational / corporate ethics** → company's values, code & policies
- **Social ethics** → community norms: justice, equality, human rights

Major ethical theories (normative)

Theory	Idea	Judges by
Utilitarianism (Bentham, Mill)	Greatest good for greatest number	Consequences
Deontology (Kant)	Duty & rules, categorical imperative	Intent / duty
Virtue ethics (Aristotle)	Character – courage, honesty	Character
Justice (Rawls)	Fairness, protect the least advantaged	Fair distribution
Rights theory (Locke)	Respect human rights	Rights

9. Factors Influencing Business Ethics

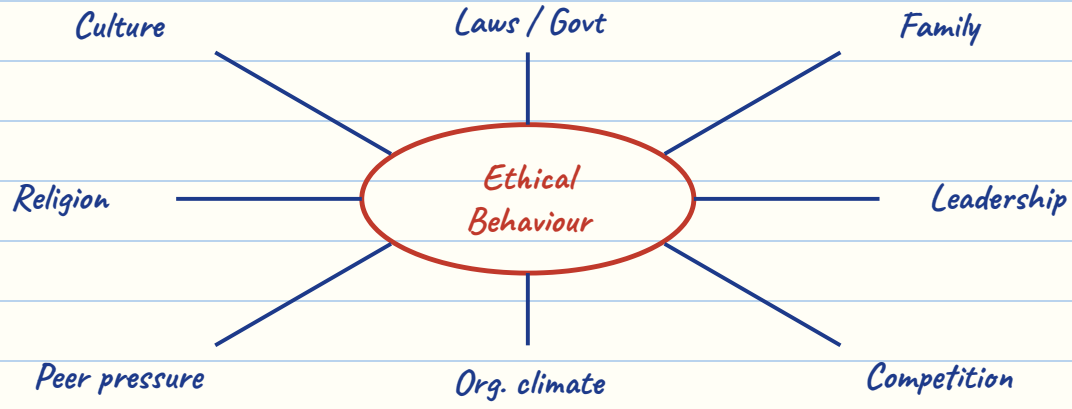


Fig 6: Factors influencing ethical behaviour

- **Culture & society** → norms, gift-giving, tolerance of corruption
- **Laws & regulation** → set minimum standards, fear of penalty
- **Family & upbringing** → early moral formation
- **Religion & education** → values, conscience
- **Leadership / top management** → "tone at the top" (most powerful)
- **Peer pressure** → colleagues' behaviour, groupthink
- **Organisational climate / culture** → reward system, code, whistle-blower support
- **Competition & profit pressure** → unrealistic targets push shortcuts
- Also: individual personality, moral development (Kohlberg), media, technology

★ *Important*

Kohlberg's 3 levels: **Pre-conventional** (reward/punishment) → **Conventional** (rules, social approval) → **Post-conventional** (universal principles).

10. Contradictions & Dilemmas in Business Ethics

- **Ethical dilemma** = situation with two/more choices, each with ethical costs
- **Profit vs ethics** → "business of business is business" (Friedman) vs stakeholder view
- **Short-term gain vs long-term goodwill**
- **Loyalty vs honesty** (employer vs public interest)
- **Ethical relativism** → "when in Rome do as Romans do" – bribe/gift norms differ by country vs **universalism** – same rules everywhere
- **Law vs ethics** → legal but harmful (tobacco, tax avoidance)
- **Competition vs fairness** → predatory pricing, copying
- **Efficiency vs employee welfare** → layoffs, automation
- **Employee privacy vs monitoring**

Arguments FOR & AGAINST business ethics

FOR (ethics pays)	AGAINST (criticisms)
Builds goodwill & loyalty	Business is for profit only (Milton Friedman)
Avoids legal trouble	Law is enough; ethics is vague / subjective
Attracts talent & investors	Costs money; competitors unethical gain edge
Social licence to operate	Managers not trained to judge morality
Prevents govt regulation	Ethics differ across cultures (relativism)

11. Ethical Practices in Management

- **Code of ethics / conduct** – written statement of values & do's/don'ts
- **Ethics committee / officer** – oversees compliance, advises
- **Ethics training** & awareness for all levels
- **Top management commitment** – lead by example
- **Whistle-blower policy / ethics hotline** – anonymous reporting (Sec 177)
- **Ethics audit** – periodic review of compliance
- **Fair HR practices** – recruitment, appraisal, grievance redressal
- **Transparent disclosures** – financial & non-financial; BRSR reporting
- **Stakeholder engagement**, supplier code, anti-bribery policy
- **Reward ethical conduct; punish violations** consistently

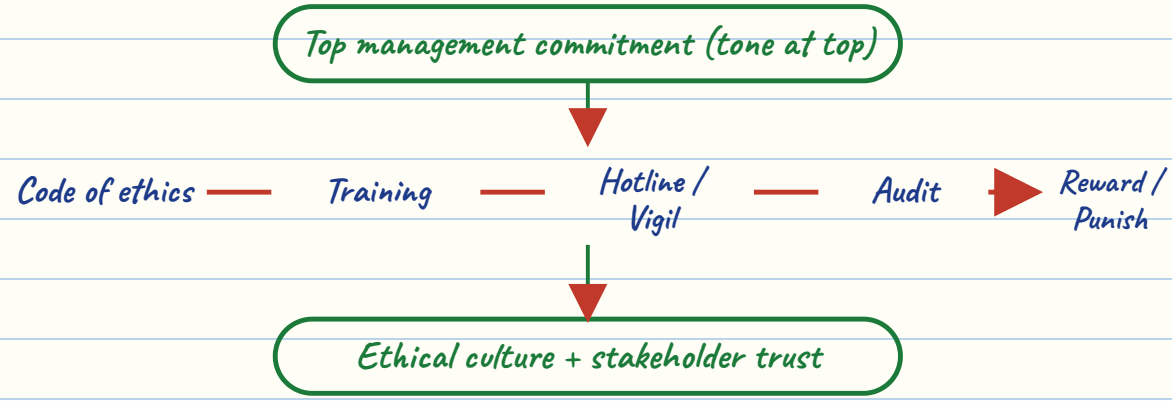


Fig 7: Institutionalising ethics in an organisation

12. Corporate Social Responsibility (CSR)

CSR = continuing commitment by business to behave ethically & contribute to economic development while improving quality of life of workforce, community & society (WBCSD).

- Concept: **Howard Bowen** (1953) "Social Responsibilities of the Businessman"; **Carnegie** – stewardship
- Views: **Classical** (Friedman – profit only) vs **Socio-economic** (Keith Davis – "iron law of responsibility")
- Principles → accountability, transparency, ethical behaviour, respect for stakeholders & law

Carroll's CSR Pyramid (1991)

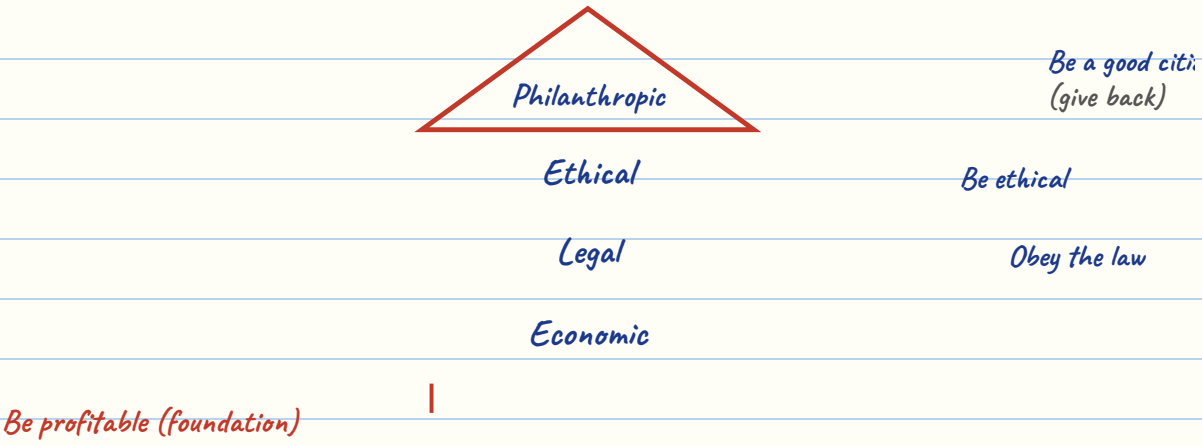


Fig 8: Carroll's pyramid – Economic (base) → Legal → Ethical → Philanthropic (top)

- Economic = required · Legal = required · Ethical = expected · Philanthropic = desired

Triple Bottom Line (Elkington, 1994) – 3 P's

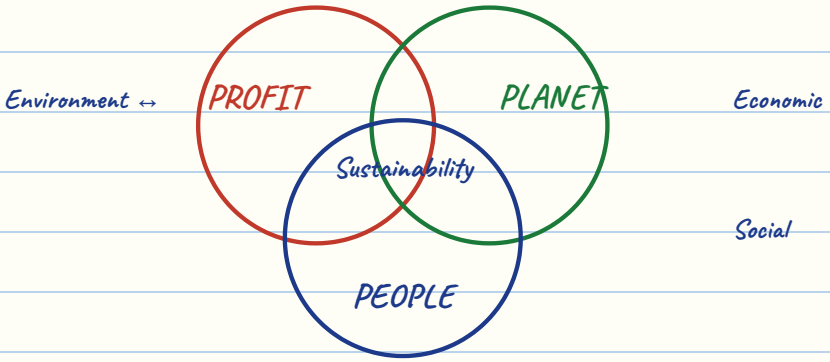


Fig 9: Triple Bottom Line

CSR under Companies Act 2013 – Section 135

★ Important

- Applies to company having (in **immediately preceding FY**) ANY ONE of:
  - **Net worth ≥ Rs 500 crore**
  - OR **Turnover ≥ Rs 1000 crore**
  - OR **Net profit ≥ Rs 5 crore**
- Spend **at least 2%** of **average net profit of preceding 3 financial years**
- Constitute **CSR Committee** of Board (≥3 directors, incl. ≥1 independent; unlisted/ private co. with 2 directors permitted)
- Board approves **CSR policy**, annual action plan; discloses in Board's report
- Unspent amount → transfer to **Unspent CSR Account** (ongoing projects, within 30 days / spend in 3 yrs) or **Fund in Schedule VII** (e.g. PM CARES) – 2021 amendment
- Effective **1 April 2014**; India = first country to mandate CSR by law

Schedule VII – activities (key areas)

- Eradicating **hunger, poverty, malnutrition**; health care, sanitation, safe drinking water
- **Education**, skill development, vocational training
- **Gender equality**, women empowerment, old-age homes
- **Environmental sustainability**, animal welfare, conservation
- Protection of **heritage, art & culture**; armed forces veterans; sports training
- Contribution to **PM National Relief Fund / PM CARES**; technology incubators; rural development; slum area development; disaster management

Examples of CSR

Company	CSR initiative
Tata Group	Tata Trusts (~66% of Tata Sons owned by trusts); education, health, Jamshedpur; Tata Relief during 26/11, COVID
Infosys Foundation	Sudha Murty – libraries, healthcare, orphanages, flood relief
ITC	e-Choupal, watershed, "carbon positive"
Wipro / Azim Premji	Education (Azim Premji Foundation)
Reliance Foundation	Health, rural transformation, disaster response

Benefits & criticism of CSR

Advantages	Limitations
Brand image, goodwill	Seen as "tax" / compliance box-ticking
Employee pride, retention	Greenwashing, tokenism
Community development	Cost burden on small firms; shareholders' money
Risk reduction, investor appeal	Impact hard to measure; clustering in few states

13. Issues of Management (Ethical Issues)

Issue	Meaning / example
Bribery & corruption	Offering/taking gifts to influence decision; Prevention of Corruption Act 1988; US FCPA 1977; UK Bribery Act 2010
Insider trading	Trading on unpublished price-sensitive info (UPSI); SEBI PIT Regulations 2015
Discrimination & harassment	Gender, caste, religion; POSH Act 2013 (sexual harassment at workplace)
Environmental damage	Pollution, waste dumping; Environment Protection Act 1986
Consumer exploitation	Misleading ads, adulteration, unsafe goods; Consumer Protection Act 2019
Conflict of interest	Personal gain vs duty (related-party deals)
Accounting fraud	Window dressing – Satyam 2009 (Rs 7,000 cr), Enron 2001
Whistle-blower retaliation	Victimising employees who report
Child labour / unfair wages	Sweatshops; Child Labour Act
Data privacy	Misuse of customer data; DPDP Act 2023

- Also: unfair trade practices, tax evasion, plagiarism / IPR theft, product dumping, ghost employees
- Managers' dilemma → targets vs ethics; **solution** = code, culture, controls, consequences

Ethical decision-making model

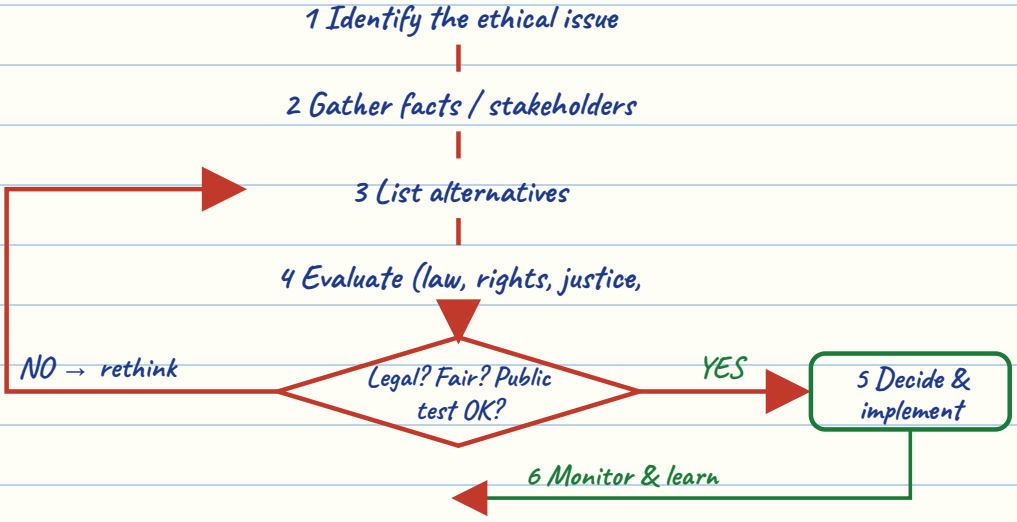


Fig 10: Ethical decision-making flowchart (step 4 – evaluate by utilitarian, rights, justice tests)

- Quick tests: **Legal test · Utility test · Publicity test · Golden-rule test** · "Would I be comfortable if my mother read it?"

14. Crisis Management

Crisis = sudden, unexpected event that threatens the organisation's survival, reputation, stakeholders. **Crisis management** = process of identifying, preventing, responding to & recovering from a crisis to minimise damage.

- Features: surprise · threat to goals · short response time · high stress · media glare

Types of crises

Type	Examples
Natural	Earthquake, flood, cyclone, pandemic
Technological / Industrial	Gas leak, fire, cyber attack, system failure
Product / Quality	Contamination, recall
Financial	Fraud, bankruptcy, stock crash
Human / Organisational	Strike, lockout, CEO misconduct, harassment
Reputational / Social media	Viral boycott, rumours
Confrontation / Malevolence	Terror, tampering, sabotage

Phases of crisis management

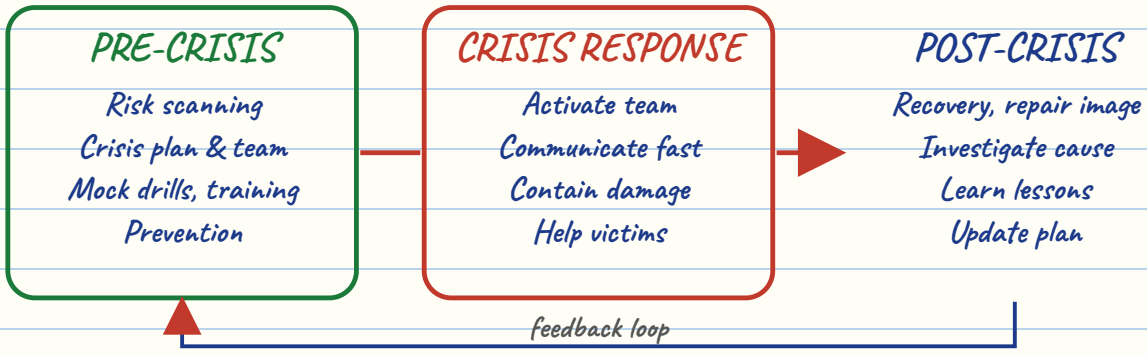


Fig 11: Three phases (cycle) of crisis management

Crisis Management Team (CMT) & steps

- CMT = CEO/leader, PR/spokesperson, legal, HR, operations, finance, security, IT
- **Steps:** 1 Detect early warning signals → 2 Form CMT → 3 Assess situation → 4 Contain/control → 5 Communicate (internal + media, one voice, honest) → 6 Resolve → 7 Recover → 8 Review & learn
- Principles: **speed, honesty, empathy, responsibility, single spokesperson**

Case examples

Case	What happened	Lesson
Tylenol (J&J), 1982	Cyanide-laced capsules killed 7 in Chicago; J&J recalled ~31 million bottles at once, tamper-proof packaging introduced	Gold standard: put public safety first, transparent
Union Carbide, Bhopal 1984	MIC gas leak (2-3 Dec) → thousands died; poor safety, delay, blame game; settlement US$470 mn (1989)	Safety neglect, poor crisis plan = disaster
Nestlé Maggi, 2015	FSSAI banned Maggi (lead, MSG claims); Nestlé recalled ~38,000 tonnes, relaunched Nov 2015	Quick recall & relaunch regained share; slow initial response hurt
Volkswagen, 2015	"Dieselgate" – software cheat device in ~11 mn diesel cars to fake emission tests; huge fines (>US$30 bn), CEO Winterkorn resigned	Deliberate unethical act = reputational & financial crash

★ *Important*

Examiners love comparing: **Tylenol (well handled)** vs **Bhopal (poorly handled)**. Always give 2-3 lines of cause, response, outcome, lesson.

15. Quick Revision & Likely Exam Questions

Key points to remember

- Ethics ← Greek **ethos**; Law = minimum, Ethics = higher
- Rokeach: **18 terminal + 18 instrumental** = 36 values
- Carroll's pyramid (1991): **Economic → Legal → Ethical → Philanthropic**
- Sec 135: **500 cr NW / 1000 cr TO / 5 cr NP**; **2% of 3-yr avg net profit**; CSR Committee
- Triple bottom line = **People-Planet-Profit** (Elkington 1994)
- Crisis phases: **Pre-crisis → Response → Post-crisis**
- Cases: Tylenol 1982 · Bhopal 1984 · Maggi 2015 · VW 2015

2-mark questions

1. Define ethics. 2. Distinguish ethics and morals. 3. What is whistle-blowing?
2. Terminal vs instrumental values. 5. Define business ethics. 6. What is an ethical dilemma?
3. State CSR threshold under Sec 135. 8. What is triple bottom line? 9. Define crisis.

5-mark questions

1. Explain the nature and scope of ethics.
2. Significance of business ethics.
3. Loyalty vs ethical behaviour – conflicts.
4. Factors influencing business ethics.
5. Arguments for and against business ethics.
6. Carroll's CSR pyramid. 7. Phases of crisis management.

10-mark questions

1. Define business ethics; explain types, characteristics and factors influencing it.
2. Explain value systems; discuss Rokeach classification and sources of values.
3. Discuss ethical practices in management and issues faced by managers; give examples.
4. Explain CSR with Sec 135 provisions, Schedule VII and examples.
5. What is crisis management? Explain types, phases & discuss Tylenol and Bhopal cases.

Last-minute tip: Start every answer with a definition → give classification/diagram → add Indian example → close with a one-line conclusion. Draw at least one diagram in 10-markers!

UNIT II – Ethics in Management

23A52701a BUSINESS ETHICS & CORPORATE GOVERNANCE | JNTUA R23

B.Tech – Exam Notes

1. Introduction

Ethics in management = applying moral principles (right/wrong, fair/unfair) to **managerial decisions** in every functional area – production, finance, HR, marketing.

- Manager's decisions affect → **stakeholders**: owners, employees, customers, suppliers, govt, society
- Law = **minimum** standard; Ethics = **higher** standard (legal ≠ always ethical)
- Unethical act → fines, lawsuits, loss of brand, loss of trust (Satyam, VW, Boeing)
- Ethical firm → trust, loyalty, talent, investor confidence, long-term profit



Fig 1: Areas of ethics in management

2. Ethics in Production / Operations Management

- **Product safety** – product must not harm user; test before launch; recall if defective
- **Quality** – no cheating on specs / materials; honest quality certification (ISO, BIS)
- **Pollution & environment** – safe effluent/waste disposal; emission norms; sustainable use of resources

- **Planned obsolescence** – deliberately making a product fail/outdated early to force repurchase (phones, printers) → questionable
- **Labour conditions** – safe workplace, no child/forced labour, working hours, wages (Factories Act 1948)
- **Honest cost & supply chain** – no sweatshop suppliers, no bribery in purchasing

Classic cases

Case	What happened	Ethical lesson
Ford Pinto (1970s, USA)	Fuel tank placed badly → fires in rear collisions; Ford knew, did cost-benefit (fix ≈ $11/car vs payout) and delayed fix	Profit over life; cost-benefit cannot price human life
Bhopal gas tragedy (Dec 1984)	MIC leak from Union Carbide plant; thousands died; safety systems off, cost cutting, poor maintenance	Safety neglect; corporate responsibility; led to Environment Protection Act 1986
Volkswagen "Dieselgate" (2015)	Defeat-device software cheated NOx emission tests in ~11 million diesel cars	Deception of regulators & customers; huge fines, CEO resigned

3. Ethics in Finance

- **Insider trading** – trading shares using **unpublished price-sensitive information** (UPSI); banned by **SEBI (PIT) Regulations 2015**
- **Window dressing** – making financial statements look better than reality just before the balance-sheet date (temporary loans, shifting sales)
- **Creative accounting** – bending accounting rules to show desired profit (fake revenue, hiding debt, off-balance-sheet items)
- **Misuse of funds** – diverting company/public money for personal use; related-party transfers; round-tripping
- **Ethical investing (SRI / ESG)** – invest only in firms that are environment-friendly, socially responsible, well governed; avoid tobacco, arms, etc.
- Also: false prospectus, price rigging, money laundering, tax evasion vs **tax planning** (legal)

Scam	Year	Nature of unethical act
Harshad Mehta	1992	Used bank receipts (BRs) & inter-bank funds to rig stock prices; Sensex crash; led to SEBI Act 1992 strengthening
Satyam (Ramalinga Raju)	2009	Inflated cash/profit ≈ ₹7,000 cr; "India's Enron"; led to tighter audit & governance (Companies Act 2013)
Nirav Modi–PNB	2018	Fraudulent Letters of Undertaking (LoUs) via SWIFT, ≈ ₹14,000 cr; weak internal controls, collusion of staff

★ *Important*

Finance ethics keywords: **Honesty, Transparency, Fiduciary duty, No UPSI misuse, True & fair view.** Mnemonic: **I-W-C-M** = Insider, Window, Creative, Misuse.

4. Ethics in Human Resource Management

- **Recruitment & selection** – fair, merit-based; no nepotism; honest job ads; no false promises
- **Discrimination** – on caste, religion, gender, disability, age is unethical (Art. 14-16 Constitution; Equal Remuneration Act 1976; RPwD Act 2016)
- **Privacy** – protect employee data; limited surveillance; DPDP Act 2023
- **Sexual harassment** – **POSH Act 2013** (Sexual Harassment of Women at Workplace – Prevention, Prohibition & Redressal):
  - Internal Complaints Committee (ICC) mandatory in offices with ≥ 10 employees
  - Complaint within 3 months; inquiry in 90 days; Vishaka Guidelines (1997) were the base
- **Fair wages & benefits** – Code on Wages 2019; equal pay for equal work; no exploitation, no bonded/child labour
- **Whistle-blowing** – employee discloses wrongdoing inside firm; protect from retaliation (Whistle Blowers Protection Act 2014; Companies Act 2013 s.177 vigil mechanism)
- **Termination** – fair notice, valid reason, hearing, dues paid (Industrial Disputes Act 1947 – retrenchment compensation); no arbitrary firing
- **Employee rights** – safe workplace, dignity, freedom of association, grievance redressal, PF/ESI, maternity benefit

Whistle-blowing = disclosure by insider of illegal/unethical practice to those who can act. Ethical if: serious harm, internal channels tried, evidence is solid, good faith (not revenge).

5. Ethics in Marketing Management

- **Misleading / false advertising** – exaggerated claims, hidden terms, fake testimonials, surrogate ads (liquor), celebrity endorsement without checks
- **Consumer rights** (CPA 2019): safety, information, choice, be heard, redressal, consumer education
- **Consumer Protection Act 2019** (replaced 1986 Act):
  - CCPA – Central Consumer Protection Authority (class action, recall, penalise misleading ads)
  - Product liability; e-commerce rules; 3-tier forums: District, State, National Commission
- **ASCI** – Advertising Standards Council of India (1985), self-regulatory; ads must be honest, decent, non-harmful, fair
- **Unfair trade practices** – false claims, bait-and-switch, hoarding, black-marketing, adulteration, selling expired goods
- **Greenwashing** – falsely claiming a product is eco-friendly ("natural", "green") – CCPA green-claims guidelines 2024

4 Ps	Ethical issues
Product	Unsafe/defective goods, misleading labels, harmful products to kids, planned obsolescence, poor packaging info
Price	Price fixing / cartel, predatory pricing, price gouging in crisis (sanitizers 2020), hidden charges, deceptive MRP discounts
Promotion	False/exaggerated ads, bribing influencers, high-pressure selling, ads targeting children, fake reviews
Place (distribution)	Hoarding & artificial shortage, exclusive-dealing coercion, grey market, exploiting small retailers, dumping

★ *Important*

Example: **Maggi (Nestlé India, 2015)** – ban for excess lead & "no added MSG" label claim → product safety + label honesty. **Nestlé baby-milk formula** controversy (global) – aggressive promotion in poor countries.

6. The Ethical Value System

Ethical value system = set of moral principles/theories that guide **what is right** and help managers justify decisions. Six major approaches in syllabus:

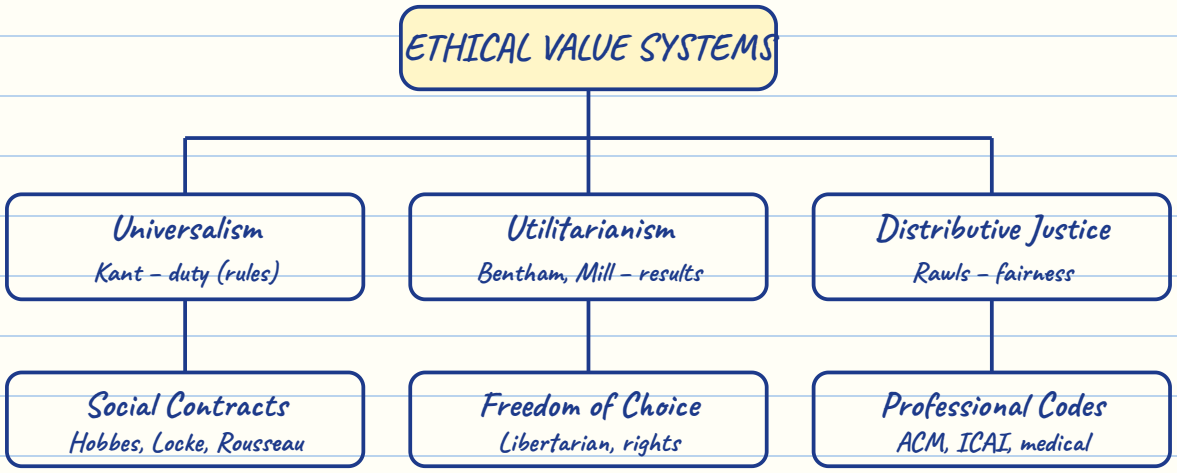


Fig 2: Ethical value systems

(a) Universalism (Deontology – Immanuel Kant)

- **Meaning**: an act is right if it follows a **universal moral rule/duty**, whatever the result ("duty for duty's sake")
- **Categorical imperative**:
  - Universal law – act only on a rule you would want **everyone** to follow
  - Humanity – treat people as **ends**, never merely as means
- **Merits**: clear, consistent, protects human dignity & rights; no favouritism
- **Demerits**: rigid, ignores consequences; rules may conflict (truth vs saving a life)
- **Example**: never lie in ads, even if lying raises sales; no bribery even if everybody does it

(b) Utilitarianism (Jeremy Bentham, J.S. Mill)

- **Meaning**: right act = one giving the **greatest good (happiness) to the greatest number** (teleological / consequentialist)
- **Act** utilitarianism – judge each single act by its result; **Rule** utilitarianism – follow rules that generally give best results
- Bentham = quantity of pleasure (felicific calculus); Mill = **quality** of pleasure also counts
- **Merits**: practical, cost-benefit friendly, focuses on social welfare
- **Demerits**: minority may suffer; hard to measure happiness; "ends justify means" (Ford Pinto cost-benefit!)
- **Example**: closing a polluting plant → job loss for few but health for thousands

(c) Distributive Justice (John Rawls, A Theory of Justice, 1971)

- **Meaning**: fair distribution of **benefits and burdens** (wealth, rights, opportunity) in society
- **Veil of ignorance** – choose rules without knowing your own position (rich/poor, caste, gender) → rules will be fair
- Rawls' **two principles**:
  1. **Equal basic liberty** for all
  2. **Difference principle** – inequality allowed only if it benefits the **least advantaged** and offices are open to all (fair equality of opportunity)
- **Merits**: protects the weak; basis of welfare, reservation, progressive tax, equal pay
- **Demerits**: may reduce incentive & effort; hard to define "fair"; ignores merit/effort
- **Example**: equal pay for equal work; pay gap between CEO & workers; CSR spending on weaker sections

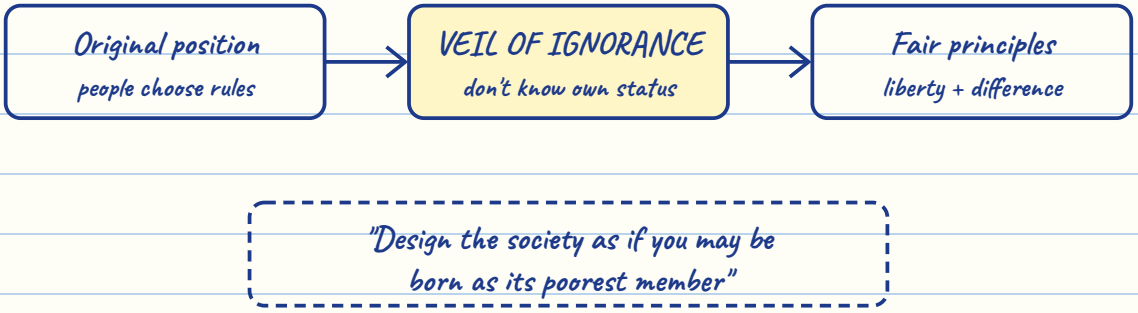


Fig 3: Rawls – veil of ignorance

(d) Social Contract Theory

- **Meaning**: morality/authority comes from an **implicit agreement** among members of society to live by rules for mutual benefit
- **Hobbes** (Leviathan) – life without state is "nasty, brutish, short" → people surrender rights to a strong ruler
- **Locke** – natural rights to life, liberty, property; govt rules by consent, limited power
- **Rousseau** (The Social Contract) – **general will** of the people; community sovereignty
- **Integrative Social Contracts Theory** (Donaldson & Dunfee):
  - **Macrosocial** contract – universal **hypernorms** (basic human rights, no slavery)
  - **Microsocial** contract – local community / industry norms, valid if consistent with hypernorms

- **Business view**: company has implied contract with society → licence to operate in return for jobs, safe goods, CSR
- **Merits**: links business to society; allows cultural variation. **Demerits**: contract is hypothetical, not signed; vague on what is agreed; may favour powerful

(e) Individual Freedom of Choice (Libertarianism & Rights theory)

- **Meaning**: each person is free to act as they choose provided they **do not harm** others' freedom; minimal state interference (Robert Nozick, Milton Friedman: "business of business is business")
- **Rights theory** (Locke): **moral/natural rights** – life, liberty, property, privacy, free speech; one person's right = others' duty
- **Merits**: respects autonomy, free markets, innovation, informed consent
- **Demerits**: ignores inequality & social good; rights may clash (consumer's safety vs firm's freedom to sell); externalities like pollution
- **Example**: employee's right to privacy; consumer's right to choose; firm's freedom to set price (but not collude)

(f) Professional Codes

- **Meaning**: written rules of conduct framed by a profession for its members → duties to client, public, profession
- Examples: **ACM / IEEE** codes (public interest, no harm, honesty, confidentiality); **Engineers' code** (NSPE: public safety first); **Medical** (Hippocratic oath, MCI/NMC code – confidentiality, "do no harm"); **ICAI Code of Ethics** (integrity, objectivity, independence, confidentiality, due care; misconduct under Chartered Accountants Act 1949)
- **Merits**: clear guidance, public trust, disciplinary power. **Demerits**: may protect members, cannot cover all cases, depends on enforcement

7. Comparison of Theories & Ethical Decision Test

Theory	Key idea	Judges by	Weakness
Universalism	Follow duty/rule	Act itself (deontological)	Rigid
Utilitarianism	Greatest good	Consequences	Minority ignored
Distributive justice	Fairness, help least-off	Fair distribution	Reduces incentive
Social contract	Implied agreement	Norms of community	Vague
Freedom of choice	Liberty, rights	No harm to others	Ignores welfare
Professional codes	Written rules	Code compliance	Limited / self-serving

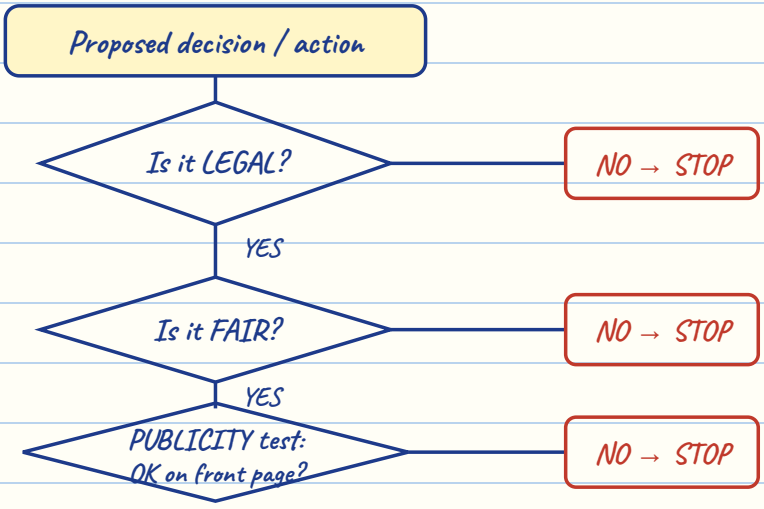


Fig 4: Three-question ethical decision test (all YES → proceed)

- **Legal test** – does it break any law/regulation/company policy?
- **Fairness (balance) test** – is it fair to all stakeholders? Would I like it done to me (golden rule)?
- **Publicity (newspaper / TV) test** – would I be comfortable if it was public, or explained to my family?
- Extra: Utility test (greatest good?), Rights test (violates anyone's rights?), Virtue test (what would a person of integrity do?)

8. Culture and Ethics

Culture = shared values, beliefs, customs, language and behaviour of a group. Culture shapes **what people consider ethical** → same act can be accepted in one country and punished in another.

Hofstede's cultural dimensions (Geert Hofstede, IBM study, 1980)

Dimension	Meaning (ethical impact)
Power Distance	Acceptance of unequal power; high → obedience to boss, little questioning (India, Malaysia)
Individualism vs Collectivism	"I" vs "We"; collectivist → loyalty to group, favouritism to kin (India, China); individualist → personal rights (USA, UK)
Masculinity vs Femininity	Competition, success vs care, quality of life
Uncertainty Avoidance	Comfort with ambiguity; high → strict rules & codes (Japan, Greece)
Long-term Orientation	Future thrift vs tradition/short-term (China, Japan)
Indulgence vs Restraint	Freedom to enjoy vs strict norms (added later, 2010)

Ethical values in different cultures

Western	Eastern (Asian, Indian)
Individualism, personal rights	Collectivism, family/community duty
Rule/contract-based, written law	Relationship-based (guanxi China, jugaad/networks India)
Direct, low power distance	Respect for seniors, high power distance
Efficiency, profit, shareholder	Harmony, dharma, stakeholder (Vasudhaiva Kutumbakam, Gita: nishkama karma)

- **Bribery vs gift-giving**: gifts are courtesy in Japan, China, Middle East, but may look like bribe in USA; **facilitation (grease) payments** normal in some places
- **Foreign Corrupt Practices Act 1977 (USA)** – bans US firms bribing foreign officials; accounting provisions (books & records)
- **UK Bribery Act 2010** – stricter: covers private bribery too, no facilitation-payment exemption; corporate offence of failing to prevent bribery
- India: **Prevention of Corruption Act 1988** (amended 2018 – bribe-giver also liable)

Ethical relativism vs Universalism

Cultural / Ethical relativism	Ethical universalism
Right/wrong depends on culture: "When in Rome, do as Romans do"	Some values are universal everywhere (no murder, theft, slavery, bribery)
Tolerant of differences	Gives one global standard
Risk: justifies bad practices (child labour, bribery)	Risk: imposes one culture's views

★ Important

Middle path = **Integrative social contract**: respect local norms but never violate **hypernorms** (human dignity, basic rights, fairness). Multinationals follow a **global code + local adaptation**.

9. Culture and Individual Ethics

- Individual ethics are **learned** from: **Family** (first teacher – honesty, respect), **Religion** (moral codes – karma, dharma, charity), **Education** (values, role models), **Peers & society** (group pressure), **Media**, **Workplace culture** (what boss rewards), **Law**
- Personal factors: conscience, self-strength, locus of control, experience

Kohlberg's Stages of Moral Development (Lawrence Kohlberg, 1958-81)

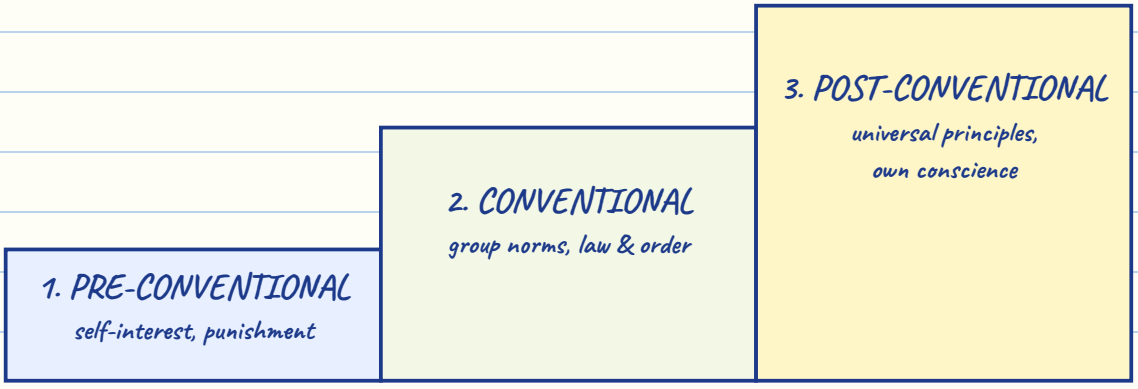


Fig 5: Kohlberg – 3 levels, 6 stages (staircase of maturity)

Level	Stage	Basis of decision
I Pre-conventional	1 Obedience & punishment	Avoid being punished
	2 Self-interest (exchange)	"What's in it for me?"
II Conventional	3 Interpersonal conformity	Be a "good boy/girl"; approval of peers
	4 Law & order	Follow rules, duty, authority
III Post-conventional	5 Social contract	Rights of all, democratic laws
	6 Universal principles	Justice, dignity, own conscience (Gandhi, Mandela)

- Most managers are at level 2; ethical leaders aim at level 3

10. Professional Ethics and Technical Ethics

- **Professional ethics** = moral code governing conduct of members of a **profession** (doctor, lawyer, CA, engineer, manager) in relation to clients, employers, public → integrity, competence, confidentiality, accountability, public interest. Backed by body (ICAI, BCI, NMC, IEI)
- **Technical ethics** = ethics arising in **design, use and impact of technology / technical work** – safety, reliability, environment, data privacy, AI fairness, intellectual property, whistle-blowing on unsafe design

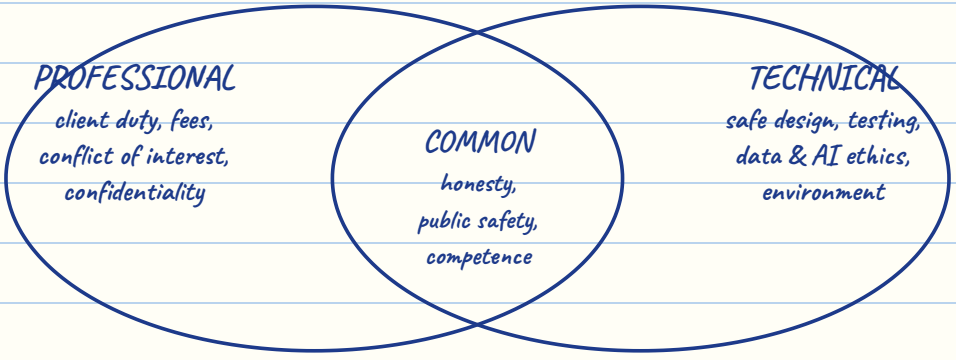


Fig 6: Professional vs technical ethics (overlap)

Basis	Professional ethics	Technical ethics
Focus	Conduct of the **person** in a profession	Moral issues of **technology / technical work**
Scope	Client, employer, colleagues, society	Product, process, user, environment
Source	Professional bodies' codes (ICAI, NMC, IEEE)	Engineering standards, safety laws, tech guidelines
Enforced by	Disciplinary action / licence cancel	Regulators, standards (BIS, ISO), liability
Examples	CA auditing honestly; lawyer keeping secrets; doctor confidentiality	Safe bridge design; no hidden software defeat device; AI bias

11. Engineers' Ethics

- **Public safety** first (paramount duty – NSPE, IEEE)
- **Honesty** – truthful reports, data, test results; no falsifying
- **Confidentiality** – protect employer/client trade secrets
- **Conflict of interest** – avoid, or disclose (gifts, shares, side-jobs)
- **Competence** – work only in area of expertise; no plagiarism; respect IPR; fair credit

Case	Facts	Lesson
Challenger (28 Jan 1986)	Space shuttle exploded 73 s after launch; O-ring failed in cold; engineers (Roger Boisjoly, Morton Thiokol) warned, but management overruled	Engineers' warning must be heard; pressure of schedule vs safety; whistle-blowing
Boeing 737 MAX (2018 Lion Air, 2019 Ethiopian)	MCAS software flaw; 346 died; pilots not informed; cost & time pressure, weak oversight	Transparency, safe design, regulatory honesty

12. Developing Ethical Values in Self and Organization

Self

- Know your values; reflect daily; think of consequences; seek advice
- Honesty in small things; keep promises; accept mistakes; courage to say "No"
- Learn from role models; read, meditate; apply decision test

Organization

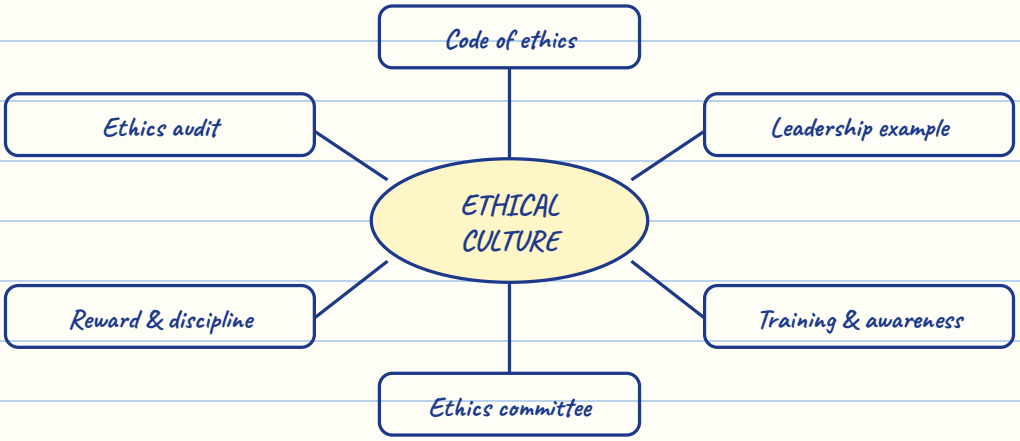


Fig 7: Building an ethical organization

- **Code of ethics** – written, simple, covers bribery, conflict, harassment, data; signed by all (e.g. Tata Code of Conduct)
- **Leadership** – "tone at the top"; leaders walk the talk (J.R.D. Tata, N.R. Narayana Murthy)
- **Training** – induction + regular workshops, case studies, e-learning
- **Ethics committee / officer** – advises, investigates; helpline; whistle-blower channel
- **Reward system** – reward ethical behaviour, punish violations, fair appraisal (no "target at any cost")
- **Ethics audit** – periodic check of compliance, social/environmental performance; report to board; corrective action

★ *Important*

Mnemonic: C-L-T-C-R-A = Code, Leadership, Training, Committee, Reward, Audit.

13. Quick Revision & Likely Exam Questions

Quick facts

- Kant = duty; Bentham/Mill = greatest good; Rawls = veil of ignorance + difference principle; Hobbes/Locke/Rousseau = contract; Nozick = libertarian
- Hofstede = 5/6 dimensions; Kohlberg = 3 levels, 6 stages; FCPA 1977; UK Bribery Act 2010; POSH 2013; CPA 2019; Companies Act 2013
- Cases: Pinto, Bhopal, VW | Satyam, Harshad, Nirav Modi | Challenger, Boeing MAX

2-mark questions

1. Define ethics in management.
2. What is planned obsolescence?

3. Distinguish insider trading and window dressing.
4. State Kant's categorical imperative.
5. What is the veil of ignorance?
6. Define whistle-blowing.
7. What is greenwashing?
8. Name Hofstede's dimensions.
9. What is ethical relativism?
10. State the publicity test.

5-mark questions

1. Explain ethics in marketing with 4 Ps.
2. Discuss ethical issues in HRM; note POSH Act 2013.
3. Explain utilitarianism with merits and demerits.
4. Rawls' theory of distributive justice.
5. Kohlberg's stages of moral development.
6. Compare professional ethics and technical ethics.
7. Bribery vs gift-giving; FCPA and UK Bribery Act.
8. How to build ethics in an organization?

10-mark questions

1. Explain ethics in production, finance, HRM and marketing with examples.
2. Discuss the ethical value systems – universalism, utilitarianism, justice, social contracts, freedom of choice, professional codes – with comparison.
3. Explain culture and ethics: Hofstede, relativism vs universalism, culture and individual ethics.
4. Case analysis: Satyam / Bhopal / Challenger / Boeing 737 MAX – ethical lapses and lessons.

★ **Important**

Write-up tip: Definition → features/theory → example (Indian + global) → merits/demerits → diagram/table → conclusion.

UNIT III – Corporate Culture

23AS2701a · Business Ethics & Corporate Governance · JNTUA R23 B.Tech · Management Course-II

Learning outcomes

- Define corporate culture
- Understand its key elements
- Analyse organisation leadership & corporate culture

1. Introduction

- Every firm has a **personality** → "the way we do things here"
- Two firms, same industry, same tech → behave very differently = **culture**
- Culture is **invisible** but felt: dress, language, decisions, how bosses treat staff
- Also called **organisational culture** / **corporate culture** (used interchangeably)
- Links to ethics: culture decides whether ethics is **lived** or only **written** (Enron, Satyam vs Tata)

2. Meaning & Definitions

Corporate culture = shared values, beliefs, norms, symbols & behaviour patterns that guide how members of an organisation think, feel and act.

Author	Definition (key idea)
Edgar Schein	Pattern of shared **basic assumptions** learned by a group while solving problems of external adaptation & internal integration; taught to new members as the correct way
Geert Hofstede	"Collective **programming of the mind** that distinguishes members of one organisation from another"
Deal & Kennedy (1982)	"The way things get done around here" (book: Corporate Cultures)
O'Reilly	System of shared values defining what is important + norms defining appropriate attitudes & behaviours

- Mnemonic for definition words: **V-B-N-S-L** = Values, Beliefs, Norms, Symbols, Language

3. Nature / Characteristics

- **Shared** → common to most members, not personal
- **Learned** → acquired by socialisation, not inherited
- **Intangible & implicit** → unwritten rules
- **Relatively stable** → changes slowly, takes years
- **Holistic** → covers structure, people, systems, behaviour
- **Symbolic** → expressed through stories, logos, rituals
- **Distinctive** → separates one firm from another
- **Dynamic** → evolves with leaders, markets, technology
- **Multi-level** → organisation culture + sub-cultures (dept, region)
- **Prescriptive** → tells people what is right/wrong
- Sub-culture = e.g. R&D (creative, loose) vs Finance (rule-bound) inside same firm
- Counter-culture = group that rejects the core values

4. Significance / Functions

Function	How it helps
Identity	Gives members a sense of "who we are" → pride (Tata = trust)
Commitment	Loyalty bigger than self-interest → low attrition
Social glue	Binds diverse people (language, region) together
Control	Informal guide of behaviour; cheaper than rules & supervision
Sense-making	Shows how to interpret events, take decisions
Performance	Aligns effort to strategy → productivity, quality
Employer brand	Attracts talent (Google, Infosys "best places to work")
Stability	Social system equilibrium; reduces ambiguity

★ Important

- Remember: **I-C-G-C-P-E** = Identity, Commitment, Glue, Control, Performance, Employer brand
- Dysfunction: barrier to change, to diversity, to mergers

5. Schein's Three Levels of Culture

- Culture has **3 layers** – like an iceberg: top visible, bulk hidden

Level	Meaning	Example
1 Artifacts	Visible structures, behaviour, symbols	Google's playful campus, Tata logo, Infosys campus
2 Espoused values	Stated strategies, goals, philosophies	Tata "Leadership with Trust"; Toyota "Respect for people"
3 Basic assumptions	Unconscious, taken for granted; drive behaviour	"Customer is God"; "Quality can never be compromised"

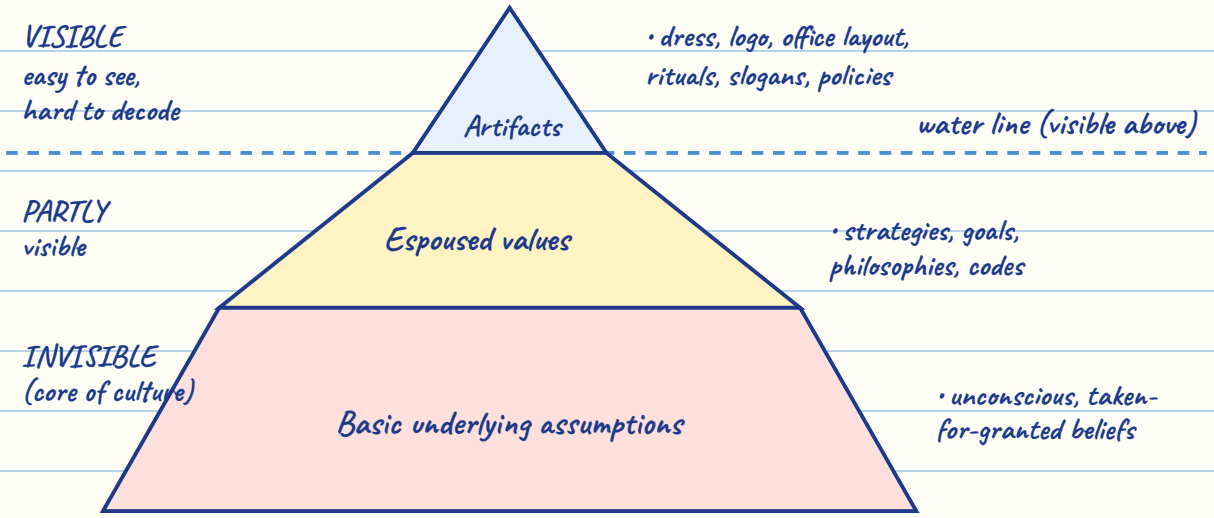


Fig 1: Schein's iceberg model of corporate culture

- Gap between espoused values & assumptions = **hypocrisy** (Enron's "Integrity" code vs real greed)

6. Key Elements of Corporate Culture

(a) Shared values

- Core principles of what is important → guide decisions
- Infosys **C-LIFE**: Client value, Leadership by example, Integrity, Fairness, Excellence
- Tata: integrity, responsibility, pioneering, excellence, unity

(b) Beliefs

- Convictions about "what is true" → e.g. people are the best asset; failure is a step to learning
- Google believes in "10x" thinking; Toyota believes in **kaizen** (continuous improvement)

(c) Norms

- Unwritten rules of acceptable behaviour (punctuality, openness, formal address)
- Zappos: norm of fun & "weirdness"; Toyota: andon cord – anyone may stop the line

(d) Rituals & ceremonies

- **Rituals** = repeated routines (morning huddle, Friday TGIF at Google)
- **Ceremonies** = special events: awards, Founder's day, long-service awards
- Tata: Founders' Day, JN Tata anniversary; Infosys: Spot awards

(e) Symbols

- Logos, buildings, uniforms, Tata "T", Google doodle, corner-office vs open-plan

(f) Language & jargon

- Special words show belonging: Googlers/Noogler; Infosys "Infoscions"; Tata "Tata-ites"; TCS "ignite"

(g) Stories, heroes, taboos, dress code, layout

- **Stories**: J.R.D. Tata's ethics; Narayana Murthy's integrity tale
- **Heroes**: founders / role models; **Taboos**: forbidden acts (bribery, bullying)
- **Dress code** (formal bank vs jeans-T-shirt start-up); **physical layout** (open office, no cabins)

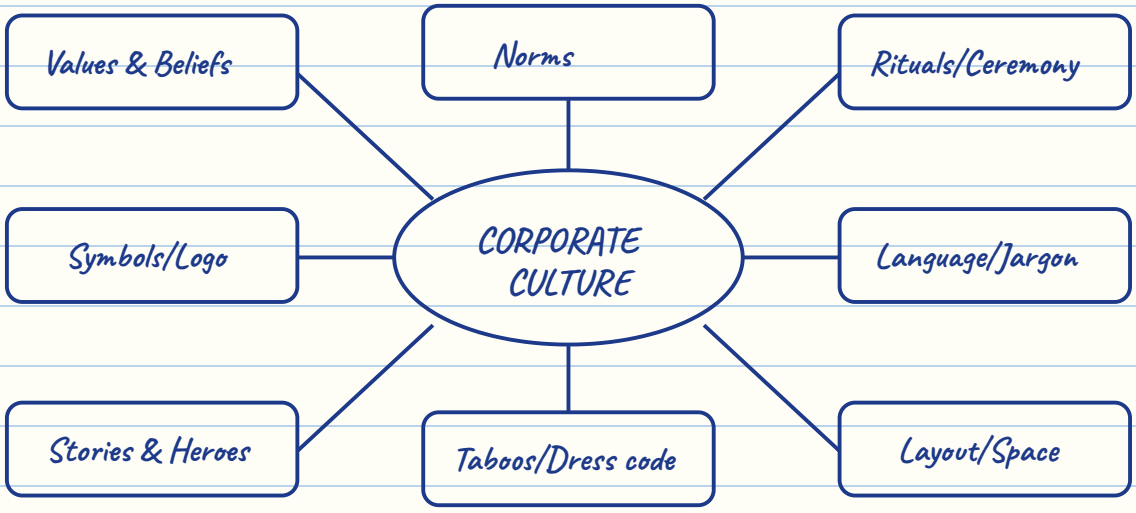


Fig 2: Key elements (building blocks) of corporate culture

7. Types of Corporate Culture

7.1 Cameron & Quinn – Competing Values Framework (CVF)

- Two axes: **Flexibility ↔ Control** (vertical) and **Internal ↔ External focus** (horizontal)
- Tool: OCAI (Organisational Culture Assessment Instrument)

FLEXIBLE & discretion	**CLAN (Collaborate)** family, loyalty, teamwork leader = mentor/parent	**ADHOCRACY (Create)** innovation, risk, agility Google, 3M
STABLE & control	**HIERARCHY (Control)** rules, SOPs, efficiency Govt, banks, army	**MARKET (Compete)** targets, winning, share GE, Amazon

INTERNAL focus & integration EXTERNAL focus & differentiation

Fig 3: Competing Values Framework (Cameron & Quinn)

Type	Focus	Glue / Success	Risk
Clan	People, internal	Loyalty, commitment; morale	Groupthink, slow decisions
Adhocracy	Innovation, external	Experimentation; new products	Chaos, burnout, failures
Market	Results, external	Winning; market share	Stress, short-termism
Hierarchy	Control, internal	Rules; smooth, efficient	Rigid, bureaucratic

7.2 Hierarchical culture

- Formal, **structured**, rules & SOPs; clear chain of command (scalar principle)
- Decisions top → down; roles & job descriptions fixed; seniority respected
- Values: **stability, predictability, efficiency, order**
- Examples: government depts, PSU banks (SBI), military, Indian Railways, large utilities

Merits	Demerits
Clarity of roles & authority	Slow decisions, red tape
Consistency, low errors	Kills creativity & initiative
Good for large/regulated work	Resistance to change
Accountability easy to fix	Low morale at lower levels

7.3 Market-driven culture (result-oriented)

- Focus on **external** environment: customers, competitors, market share
- Values: **achievement, competitiveness, targets, profit**; "winning" is key
- Performance-linked pay, incentives, ranking; transactions over relationships
- Leaders: tough, demanding, goal-driven producers
- Examples: Amazon, GE (Jack Welch's "rank & yank"), sales firms, FMCG (HUL), pharma sales

- **Merits**: high productivity, customer focus, quick action
- **Demerits**: cut-throat, stress, unethical shortcuts (Wells Fargo fake accounts), low loyalty

> ★ **Important**
> - Hierarchy = **control** + internal; Market = **control** + external (both "stable" side of CVF)
> - Be ready to draw the 2×2 CVF in 10-mark answers

7.4 Deal & Kennedy's typology (risk × feedback speed)

	FAST feedback	SLOW feedback
HIGH RISK	**TOUGH-GUY MACHO** high risk, fast feedback stock brokers, surgeons, sports	**BET-YOUR-COMPANY** high risk, slow feedback oil, aerospace, Boeing, ISRO
LOW RISK	**WORK HARD–PLAY HARD** low risk, fast feedback sales: McDonald's, Amazon, retail	**PROCESS CULTURE** low risk, slow feedback banks, insurance, govt

Fig 4: Deal & Kennedy's four culture types

7.5 Handy's four cultures (Charles Handy – "Gods of Management")

Culture	God	Features	Example
Power	Zeus	Central power source, personal control, quick	Family business, start-ups
Role	Apollo	Rules, job roles, procedures	Govt, bureaucracy
Task	Athena	Teams solve problems; expertise	Consulting, project firms
Person	Dionysus	Individual is central; org serves people	Law/medical partnerships, universities

7.6 Other classifications

Strong culture	**Weak culture**
Values widely shared & intensely held High agreement, low turnover Predictable behaviour (Tata, Toyota)	Few shared values; many sub-cultures Rules & supervision needed Confusion, high attrition
Ethical culture	**Unethical culture**
Integrity, transparency, code enforced Whistle-blowers protected Leaders model ethics (Tata, Infosys)	Results at any cost, secrecy, fear Ethics only on paper Enron, Satyam, Volkswagen "dieselgate"

- Strong ≠ always good: strong **wrong** culture is dangerous (Enron)

8. How Culture is Created, Sustained & Learned

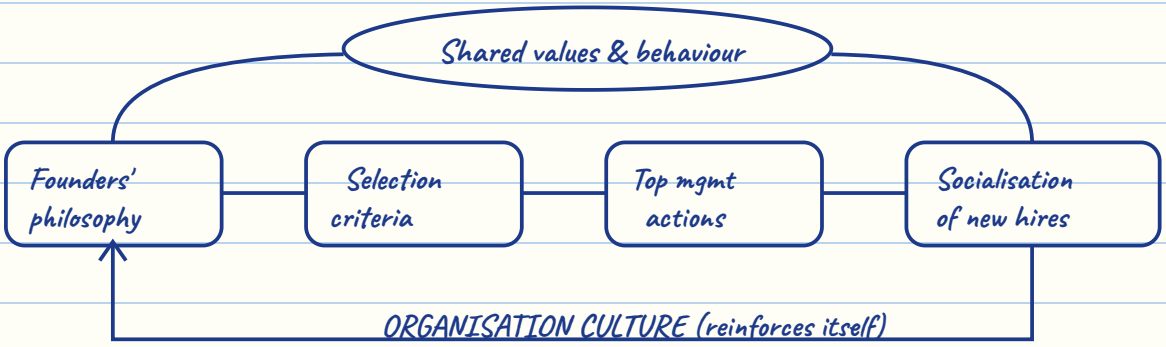


Fig 5: Creation and sustenance of culture (Robbins)

Creation

- **Founder's vision** → hires like-minded people → they share & internalise → culture forms
- Examples: Jamsetji Tata (nation-building, labour welfare), N.R. Narayana Murthy (transparency, merit), Tony Hsieh (Zappos "deliver happiness")

Maintenance (3 forces)

- **Selection**: hire for culture fit (Zappos pays new hires to quit if misfit!)
- **Top management**: what they say & do sets norms
- **Socialisation**: orientation, mentors, training, stories

How employees learn culture

- **Stories** · **Rituals** · **Material symbols** · **Language** · role-modelling · rewards · induction
- Socialisation stages: **pre-arrival** → **encounter** → **metamorphosis**

9. Culture and Performance

- Kotter & Heskett (1992, 11 yrs, 200+ firms) → **adaptive** cultures earned 4× revenue growth, 12× stock price vs others
- Strong + **fit with strategy** + **adaptive** = superior performance
- Positive: motivation, alignment, quality (Toyota Way), customer service (Ritz-Carlton)
- Negative: inertia, groupthink, resistance (Kodak, Nokia)
- Culture eats strategy for breakfast – (attributed to Peter Drucker)

10. Organisation Leadership & Corporate Culture

- **Leadership** = influencing people to achieve shared goals

- Schein: "**Leaders create culture, then culture shapes leaders**" – two sides of one coin
- Leaders = culture **creators, embedders, changers** and role models

Schein's embedding mechanisms

Primary (powerful)	Secondary (articulate/reinforce)
1. What leaders **pay attention to**, measure, control 2. Reaction to **crises** 3. Role modelling, coaching 4. Criteria for **rewards & status** 5. Criteria for recruitment, promotion, **dismissal**	1. Organisation design & structure 2. Systems & procedures 3. Facilities / physical space 4. Stories, legends, myths 5. Formal statements – creed, charter

★ Important

- Primary = what leaders actually **do** > Secondary = what they **say**

II. Leadership Styles & Impact on Culture

Lewin's leadership studies (Kurt Lewin, 1939, Iowa)

- Three styles: **Autocratic, Democratic, Laissez-faire** (tested on boys' clubs)
- Finding: democratic → best satisfaction & quality; autocratic → high output but hostility; laissez-faire → low output, confusion

Style	Features	Culture created
Autocratic	Leader decides alone, strict control	Hierarchical, fear, low trust, dependent
Democratic / participative	Consults team, shared decisions	Open, collaborative, clan-like, high commitment
Laissez-faire	Hands-off, full freedom	Autonomy for experts but drift, no direction
Transactional	Rewards-for-performance, rules, exceptions	Market/role culture; target-driven, short-term
Transformational	Vision, inspires, develops people	Innovative, change-ready, purpose-driven
Servant (Greenleaf)	Serves followers first, empathy	Caring, trust, ethical, high retention (Southwest, Tata trusts)
Charismatic (Weber, House)	Personal magnetism, bold vision	Devoted, dependent on leader; succession risk (Steve Jobs at Apple)

12. Transformational Leadership & Culture

- Concept: **J.M. Burns** (1978) "Leadership"; extended by **Bernard Bass** (1985)
- Leader raises followers' motivation & morality beyond self-interest → org change
- Examples: Satya Nadella, Ratan Tata, Elon Musk, Narayana Murthy, Mahatma Gandhi

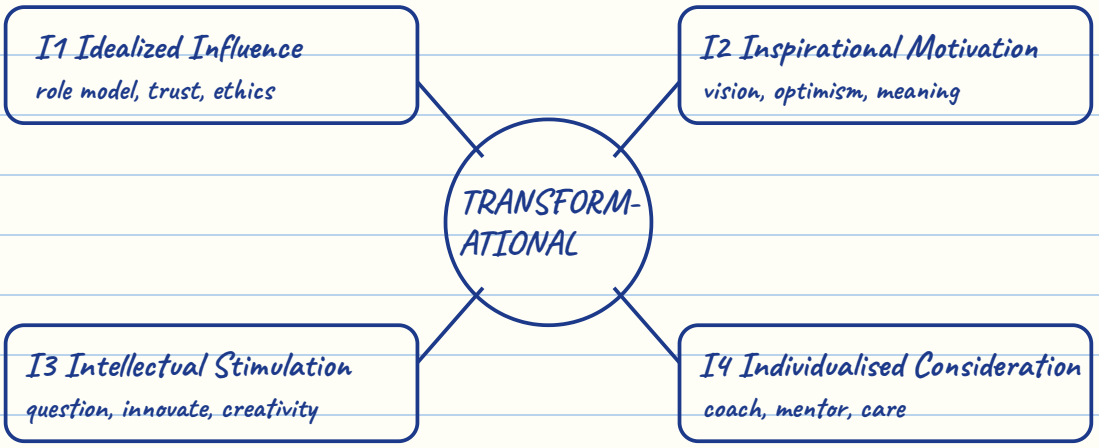


Fig 6: The Four I's of transformational leadership (Bass)

Basis	Transformational	Transactional
Approach	Inspire, change status quo	Exchange: reward for work
Focus	Vision, long-term, people	Tasks, short-term, targets
Motivation	Intrinsic, higher-order needs	Extrinsic: pay, penalty
Followers	Empowered, creative	Compliant
Culture	Adaptive, innovative	Stable, rule-based
Suitable in	Crisis, change, growth	Stable, routine operations

- Transformational leaders change culture by: **articulating vision → role modelling → empowering → reframing values → celebrating wins**

13. Culture Change

Why change?

- Market/tech disruption, poor performance, new strategy, mergers, new CEO, scandal, globalisation

Resistance to culture change

- Fear of loss of power/job · habit · comfort with old values · lack of trust · sub-culture loyalty · past success ("Why fix what isn't broken?")

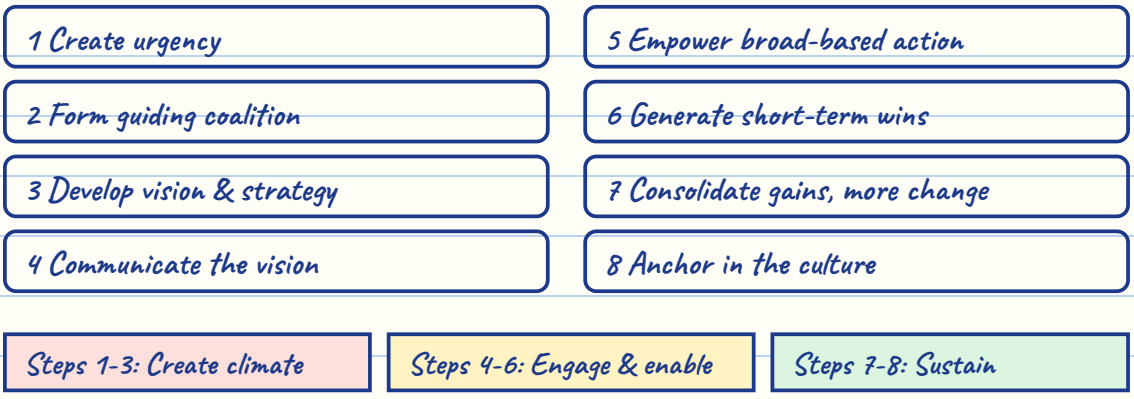
Lewin's 3-step model (Unfreeze – Change – Refreeze)

Force-field: driving forces vs restraining forces



Fig 7: Lewin's change model

Kotter's 8-step model (John Kotter, 1995 HBR, Leading Change)



Mnemonic: "U-C-V-C-E-W-C-A" → Urgency, Coalition, Vision, Communicate, Empower, Wins, Consolidate, Anchor

Fig 8: Kotter's eight-step change process

Steps for culture change (practical)

1. Diagnose current culture (**culture audit**) & define desired culture
2. Top-management commitment; new vision/values statement
3. Change leaders / symbols / structure / reward system
4. Train & communicate; involve employees; manage resistance
5. Hire/promote culture carriers; remove misfits
6. Reinforce & monitor; re-audit

Examples of culture change

Case	What changed
Microsoft – Satya Nadella (CEO 2014)	From "know-it-all" to "**learn-it-all**"; growth mindset (Carol Dweck); cloud-first, collaboration; ended stack-ranking → revenue & market value soared
Tata Steel	Safety & ethics culture; 1990s Russi Mody-era "Tata Steel 2000" restructuring & ethical, welfare-based "Tata Way"; "Zero Harm" safety focus
Indian Railways	From rule-bound bureaucracy → customer service, digital (IRCTC e-ticketing, Rail Madad), safety & cleanliness focus, Vande Bharat

14. Culture Audit

- **Culture audit** = systematic assessment of existing values, norms, behaviour vs desired culture
- Methods: **surveys** (OCAI), interviews, focus groups, observation, document analysis, exit interviews
- Steps: set purpose → collect data → analyse gaps (as-is vs to-be) → report → action plan
- Uses: before change, merger, ethics programme; detects toxic sub-cultures

15. Merging Cultures

- Most mergers fail (≈ 60-70%) due to **culture clash**, not finance
- Four acculturation modes (Berry/Nahavandi & Malekzadeh): **integration, assimilation, separation, deculturation**
- **DaimlerChrysler** (1998 "merger of equals", $36bn): German formal, hierarchical, engineering-led vs American informal, cost & marketing-led; pay gap, decision styles → talent exodus; Daimler sold Chrysler in 2007 (Cerberus)
- Indian cases: **Tata–Corus** (2007, integration problems), **Tata–Jaguar Land Rover** (success: autonomy retained), Daiichi–Ranbaxy (2008)
- Remedies: culture due diligence, joint integration team, clear communication, retain talent, blend best of both

Quick Revision & Likely Exam Questions

Quick revision capsules

- Culture = shared V-B-N-S-L; Schein 3 levels: **Artifacts / Espoused values / Basic assumptions**
- CVF: **Clan, Adhocracy, Market, Hierarchy** / D&K: **Macho, Work-play, Bet-company, Process** / Handy: **Power, Role, Task, Person**
- Functions: Identity, Commitment, Glue, Control, Performance, Brand
- Culture maintained by: **Selection, Top mgmt, Socialisation**
- Styles: Lewin (Auto, Demo, Laissez) + Transactional, Transformational, Servant, Charismatic
- Bass 4 I's: **Influence, Inspiration, Intellect, Individual care**
- Kotter 8 steps; Lewin **Unfreeze-Change-Refreeze**

2-mark questions

1. Define corporate culture (any two authors).
2. What are artifacts? Give examples.
3. Differentiate strong and weak culture.
4. What is market-driven culture?
5. List the four I's of transformational leadership.
6. What is a culture audit?
7. Name Lewin's three leadership styles.

5-mark questions

1. Explain nature and significance of corporate culture.
2. Explain Schein's three levels with an iceberg diagram.
3. Describe hierarchical culture with merits and demerits.
4. Compare transformational and transactional leadership.
5. Explain Lewin's three-step model of change.
6. How do founders and selection sustain culture?

10-mark questions

1. Explain key elements of corporate culture (values, norms, rituals, symbols, language) with examples.
2. Discuss Cameron & Quinn's Competing Values Framework with a diagram; add Deal & Kennedy types.
3. Analyse the relationship between leadership styles and corporate culture; explain Schein's embedding mechanisms.
4. Explain transformational leadership and Kotter's 8-step model for culture change, with examples (Nadella, Tata).
5. What is a culture clash in mergers? Discuss with DaimlerChrysler and suggest remedies.

UNIT IV – Legal Framework

23A52701a BUSINESS ETHICS & CORPORATE GOVERNANCE | JNTUA R23

B.Tech – Exam Notes

I. Law and Ethics

Law = body of rules made & enforced by the State, binding on all; breach → punishment. **Ethics** = moral principles of right/wrong that guide conduct; breach → guilt, disapproval.

Need for law in business

- Protects **consumers, investors, employees, environment** from exploitation
- Ethics is voluntary → some firms ignore it → law gives **force**
- Ensures **fair competition** & level playing field
- Gives certainty: contracts, property, dispute settlement
- Deterrence: penalty, jail, disqualification
- Builds public trust in markets → investment & growth

Law vs Ethics

Basis	Law	Ethics
Source	Legislature, courts	Conscience, culture, religion
Nature	Written, codified, definite	Unwritten, flexible, subjective
Sanction	Fine, jail, penalty	Guilt, social/moral censure
Enforced by	Courts, regulators	Self, society, peers
Scope	Minimum standard of conduct	Higher standard – beyond law
Varies with	Country / time (amended)	Person, culture, situation
Focus	Actions (what you did)	Intentions + actions

	LEGAL	ILLEGAL
ETHICAL	**Legal + Ethical** Pay taxes honestly, safe products, CSR	**Ethical but Illegal** Whistle-blowing breaching contract; civil disobedience
UNETHICAL	**Legal but Unethical** Tax avoidance loopholes, pushing junk food to kids	**Illegal + Unethical** Insider trading, bribery, Satyam accounts fraud

Fig 1: Law–Ethics overlap matrix (4 cases)

★ Important

- Law = **minimum**; ethics = **maximum** ("law is the floor, ethics the ceiling")
- Legal ≠ always ethical; ethical ≠ always legal

2. Agencies Enforcing Ethical Business Behaviour

Agency	Role in ethical conduct
SEBI (1988; statutory 1992)	Regulates securities market; insider trading, fraud, disclosures
RBI (1935)	Banks/NBFCs, monetary policy, KYC, fair practices, forex (FEMA)
CCI (2003/09)	Competition Act – cartels, abuse of dominance, combinations
MCA / ROC	Administers Companies Act; registration, filings, inspection
NCLT / NCLAT (2016)	Company disputes, oppression, mismanagement, insolvency; appeal
SFIO (2003; S.211)	Investigates complex corporate frauds (multi-disciplinary)
ED	Enforces FEMA & PMLA – money laundering, forex violation
CBI / CVC	CBI: corruption & economic crime probe; CVC: vigilance in public sector
Consumer Commissions, CCPA	District/State/National redressal; CCPA (2020) – unfair trade, ads, recalls
ICAI / NFRA	ICAI: audit ethics, discipline; NFRA (S.132): audit quality oversight
CPCB / SPCBs, NGT	Pollution norms, consent to operate; NGT – green court (2010)
Stock Exchanges (BSE/NSE)	Listing compliance, surveillance, penalise non-disclosure
Lokpal / Lokayuktas (2013 Act)	Inquire corruption by public servants (incl. NGOs/firms linked)
ASCI (1985) – self-regulatory	Code for ethical advertising; handles misleading-ad complaints

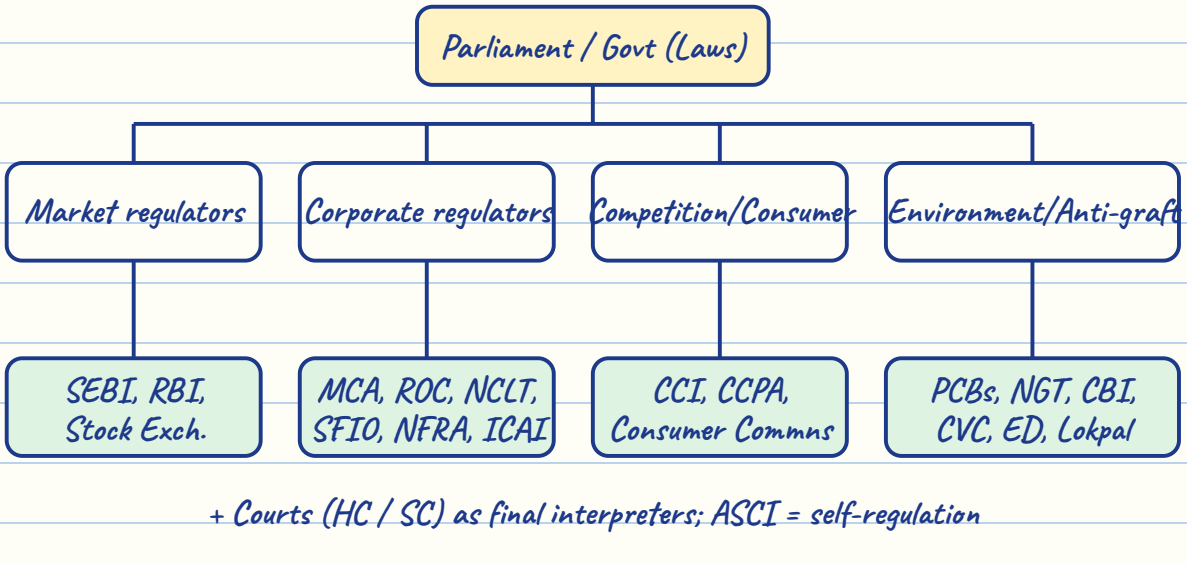


Fig 2: Legal & regulatory ecosystem in India

3. Legal Impact of Unethical Behaviour

- **Penalties & fines** – e.g. cartel: up to 3× profit or 10% turnover (Competition Act)
- **Imprisonment** – fraud S.447 Cos Act: 6 months – 10 yrs; insider trading; PMLA
- **Disqualification** of directors (S.164), debarment by SEBI, licence cancellation
- **Compensation / damages** – consumer cases, class-action suits (S.245)
- **Product recall, ban**, attachment of assets, winding up
- **Reputation damage** → share price crash, loss of customers, investors, talent
- **Cost of litigation** + management time; loss of credit rating

Case – Satyam (2009): chairman B. Ramalinga Raju confessed to inflating cash/profits ≈ ₹7,000 cr → arrest, jail, SEBI ban & penalty, auditor PwC penalised, firm sold to Tech Mahindra. **Enron (2001, USA)** → Arthur Andersen collapsed → SOX 2002.

4. Environmental Protection Laws

Why? Industry pollutes air, water, soil; Constitution: **Art 21** (right to clean environment), **Art 48A** (State), **Art 51A(g)** (citizen duty).

Law	Key purpose
Environment (Protection) Act, 1986	Umbrella Act (post-Bhopal); central govt powers, standards, EIA, hazardous substances; penalty / jail
Water Act, 1974	Prevent water pollution; CPCB/SPCB; consent to establish/operate
Air Act, 1981	Prevent, control air pollution; emission standards; air-pollution control areas
Wildlife Protection Act, 1972	Protect species, sanctuaries, national parks; ban trade
Forest Conservation Act, 1980	Prior central approval to divert forest land for non-forest use
NGT Act, 2010	Fast-track environmental disputes; "polluter pays", relief & compensation
Hazardous Waste Rules (under EPA)	Safe handling, storage, transport, disposal; authorisation required

Key principles & tools

- **Polluter Pays** – polluter bears cost of damage & restoration (Indian Council for Enviro-Legal Action v UOI; Vellore Citizens 1996)

- **Precautionary principle** – lack of scientific certainty is no excuse to delay prevention
- **Absolute liability** – M.C. Mehta v UOI (Oleum gas leak, 1986) – hazardous industry fully liable
- **Sustainable development** – meet present needs without harming future
- **EIA** (Environmental Impact Assessment) – mandatory study before big projects
- **EPR** (Extended Producer Responsibility) – producer responsible for plastic / e-waste / battery end-of-life
- **ISO 14001** – international standard for Environmental Management System (EMS)



then: Consent to Establish → Consent to Operate (SPCB) → monitoring

Fig 3: Environmental clearance process (EIA)

Corporate responsibility

- Install ETP/STP, cut emissions, **3R** (Reduce-Reuse-Recycle), green audit
- Obtain consents, file returns, disclose in **BRSR** (SEBI) & CSR spend
- Penalty: fine + jail (EPA: up to 5 yrs), closure notice, NGT compensation

Bhopal (2–3 Dec 1984): Union Carbide pesticide plant leaked **MIC** gas → thousands died; weak safety, cost-cutting. Led to **EPA 1986**, Public Liability Insurance Act 1991; settlement US$470 m (1989).
Vizag (7 May 2020): **LG Polymers** styrene gas leak, 12 deaths; NGT ordered ₹50 cr deposit; plant lacked environmental clearance & safety restart protocols.

5. Fair Trade Practices

(a) Competition Act, 2002

- Replaced **MRTP Act 1969** (focused on curbing monopoly size; repealed 2009) → new focus on **promoting competition**
- Regulator: **CCI** (Competition Commission of India); appeals → NCLAT

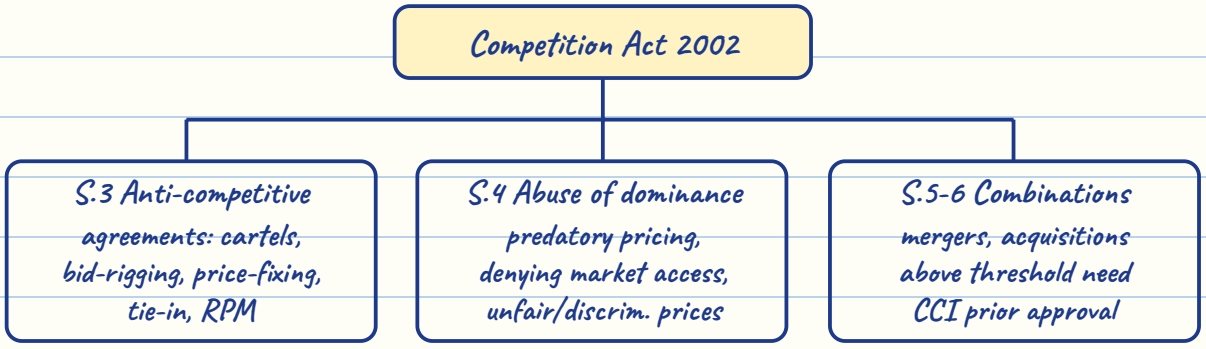


Fig 4: Three pillars of the Competition Act

- Penalty: up to **10% of avg turnover** (last 3 yrs); cartels: up to 3× profit or 10% turnover; leniency plus for whistle-blowing cartel members
- Eg: CCI vs cement cartel; CCI penalised Google (Android, 2022) & Amazon/Flipkart probes

(b) Unfair Trade Practices (UTP)

Practice	Meaning / example
Misleading ads	False claims on quality, results – "100% cure", fake endorsements
False sales claims	Fake "70% off", inflated MRP, false "limited stock"
Bait & switch	Advertise cheap product, then push costlier one
Hoarding	Stocking goods to create shortage / raise price (Essential Commodities Act 1955)
Black marketing	Selling above MRP / in secret, e.g. medicines, tickets
Adulteration, spurious goods	Mixing/fake brand, short weight & measures
Dark patterns (e-com)	Fake urgency, hidden charges, drip pricing

(c) Consumer Protection Act, 2019 (replaced 1986 Act)

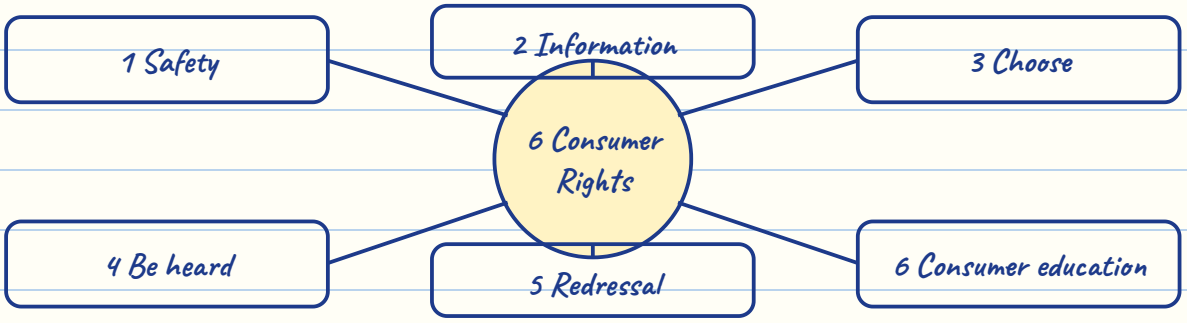


Fig 5: Six consumer rights (CPA 2019, S.2(9))

- **CCPA** (Central Consumer Protection Authority, July 2020): class action, recall unsafe goods, penalty on misleading ads – up to ₹10 lakh (repeat ₹50 lakh); endorser ban 1 yr (repeat 3 yrs)
- **Three-tier commissions**: District, State, National (NCDRC) – by value of claim; **mediation** cells added

- **Product liability** (Ch. VI): manufacturer, seller, service provider liable for defect/deficiency → compensation
- **E-Commerce Rules 2020**: display seller details, country of origin, no unfair price manipulation, grievance officer, return/refund terms
- Covers e-commerce, teleshopping, direct selling; "unfair contract" & **celebrity endorser** liability

(d) Other fair-trade laws

Law	Purpose
Sale of Goods Act, 1930	Contract of sale; implied conditions & warranties (title, quality, fitness)
Legal Metrology Act, 2009	Correct weights/measures; packaged-goods labelling (MRP, net qty)
BIS Act 2016 / ISI, Hallmark	Standards, certification, quality marking
Right to Information Act, 2005	Citizens access public-authority info → transparency, accountability
Essential Commodities Act 1955	Control supply/price of essentials; anti-hoarding

6. Legal Compliances

Compliance = adhering to all laws, rules, regulations & internal policies applicable to business. Non-compliance → penalty, prosecution, loss of goodwill.

- **Registration**: Companies Act/LLP Act (ROC), PAN/TAN, GST, Shops & Establishment, MSME (Udyam)
- **Annual filings**: AOC-4 (financials), MGT-7 (annual return), board meetings, AGM, auditor appointment, DIR-3 KYC
- **Tax**: Income Tax (advance tax, TDS, ITR), **GST** (GSTR-1, 3B, annual) – on time
- **Labour**: 4 **Labour Codes** (Wages, Industrial Relations, Social Security, OSH); **PF** (EPF Act) & **ESI** contributions
- **POSH Act 2013**: Internal Committee (≥10 employees), annual report, awareness
- **Data protection**: **DPDP Act 2023** – consent, purpose limitation, Data Fiduciary duties, breach notice, Data Protection Board; penalty up to ₹250 cr
- **Sector**: SEBI LODR, FSSAI, pollution consents, trade licences, IP

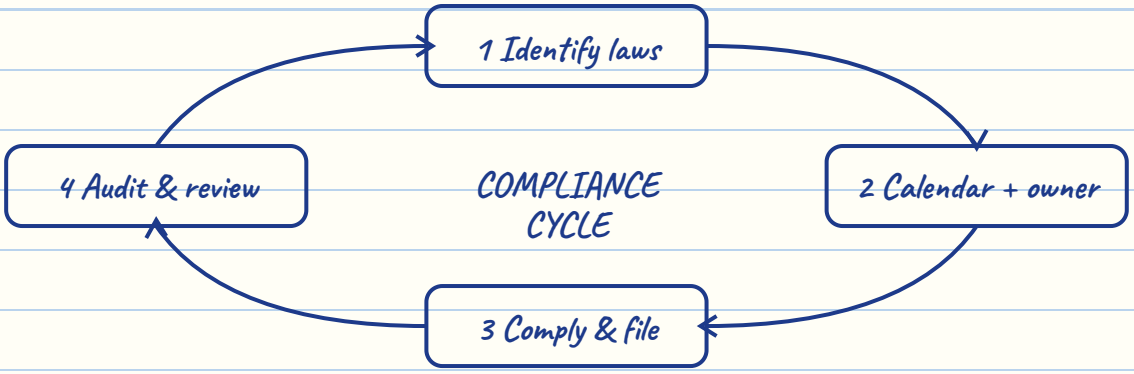


Fig 6: Compliance management cycle

- **Compliance calendar** – list of due dates + responsible person + penalty for delay
- **Compliance audit** – internal/secretarial audit (S.204: MR-3 for listed cos) checks adherence, gaps, remedial action
- **Checklist tip**: Register → Tax → Labour → Environment → Data → Disclosure → Audit

7. Safeguarding Health & Well-being of Customers

Law / body	Protection offered
Food Safety & Standards Act 2006 – FSSAI	Single food law; licence/registration; standards, labelling, recall; adulteration penalties
Drugs & Cosmetics Act 1940	Control import, manufacture, sale of drugs; CDSCO; ban spurious/sub-standard
Consumer Protection Act	Right to safety, product liability, recall via CCPA
BIS (ISI, Hallmark)	Mandatory quality marks for electricals, toys, helmets, cement
COTPA 2003	Tobacco: ban public smoking, ads; pictorial warnings; no sale to minors / near schools
Legal Metrology, Warranty	Honest quantity; warranty/guarantee honoured; **recall** of defective goods

- **Ethical advertising**: truthful, no exploitation of children, no false health claims – ASCI code, CPA 2019, Drugs & Magic Remedies Act 1954
- Duty: safe design, testing, clear labels (ingredients, expiry, allergens), after-sales support
- Examples: car airbag/defect recalls; ban on harmful food colours; Johnson & Johnson Tylenol recall (1982) – global ethics model

Maggi case (2015): FSSAI found excess **lead** & undeclared **MSG** in Nestlé Maggi noodles → nationwide ban, ~38,000 tonnes destroyed; govt filed ₹640 cr claim at NCDRC; Bombay HC (Aug 2015) set aside ban citing natural-justice lapses & lab issues; Maggi returned after re-testing. Lesson: **quality control, transparency, crisis response**.

8. Corporate Law – Companies Act, 2013

Replaced Companies Act 1956; administered by **MCA**; 29 chapters, ~470 sections. Aim: transparency, accountability, investor & stakeholder protection.

Types of companies

- By liability: limited by shares / by guarantee / unlimited
- By members: **Private** (2–200), **Public** (min 7), **One Person Co. (OPC)**
- Others: Section 8 (non-profit), Govt co., Foreign co., Holding/Subsidiary, Listed

Key features

Provision	Detail
Board	Min 3 directors (public), 2 (private), 1 (OPC); max 15 (more by special resolution); ≥1 **woman** director for specified cos; resident director (182 days)
S.166 Duties of directors	Act in good faith, due care/skill, **independent judgment**, avoid conflict of interest, no undue gain; breach → fine ≥₹1 lakh
S.149 Independent directors	≥ 1/3 of board for listed cos; code of conduct (Sch IV); no pecuniary tie
S.177 Audit committee	Min 3 directors, majority independent; reviews financials, auditors, RPTs, internal control
S.177(9) Vigil mechanism	Whistle-blower channel for listed/prescribed cos; protects against victimisation
S.135 CSR	Net worth ≥₹500 cr / turnover ≥₹1000 cr / profit ≥₹5 cr → CSR committee, spend **2%** of avg net profit (3 yrs); Sch VII activities
S.188 Related-party txns	Board / shareholder approval, arm's-length; disclosure
S.447 Fraud	Jail 6 months – 10 yrs; fine 1–3× amount involved
S.245 Class action	Members/depositors sue for oppressive acts (first of its kind in India)
Others	NFRA (S.132), SFIO (S.211), auditor rotation (S.139), NCLT (S.408), e-filing, secretarial audit

LLP Act, 2008

- **LLP** = hybrid: separate legal entity + **limited liability** of partners + partnership flexibility
- Min 2 partners, 2 designated partners; no max; no minimum capital; lighter compliance; reg. with ROC

9. Securities & Financial Regulations

Law	Year	Purpose / key point
Securities Contracts (Regulation) Act	1956	Regulates stock exchanges, listing, contracts in securities
SEBI Act	1992	Protect investors, develop & regulate market; SEBI powers (quasi-legislative, judicial, executive); appeal → SAT
Depositories Act	1996	Demat – paperless holding (NSDL, CDSL)
SEBI (LODR) Regs	2015	Listing obligations; replaced Clause 49; board composition, disclosures, committees
SEBI (PIT) Regs	2015	Prohibit insider trading; UPSI, trading window, code of conduct
SEBI Takeover Code (SAST)	2011	Open offer on 25% acquisition – protects minority
FEMA	1999	Replaced FERA 1973; manages forex – civil, not criminal; RBI/ED
Banking Regulation Act	1949	Licensing, supervision of banks; RBI powers
PMLA	2002	Prevent money laundering; attach proceeds of crime; ED, reporting entities (FIU-IND)
IBC	2016	Time-bound insolvency resolution (CIRP 330 days); NCLT, IBBI, creditors' committee
Prevention of Corruption Act	1988	Bribery of public servants; 2018 amendment: giving bribe & corporate liability offence

Global

- **Sarbanes-Oxley Act 2002 (SOX, USA)** after Enron/WorldCom: CEO/CFO certify accounts (S.302), internal controls (S.404), PCAOB, whistle-blower protection, jail for fraud
- **Dodd-Frank Act 2010 (USA)** after 2008 crisis: Consumer Financial Protection Bureau, Volcker rule, say-on-pay, whistle-blower rewards

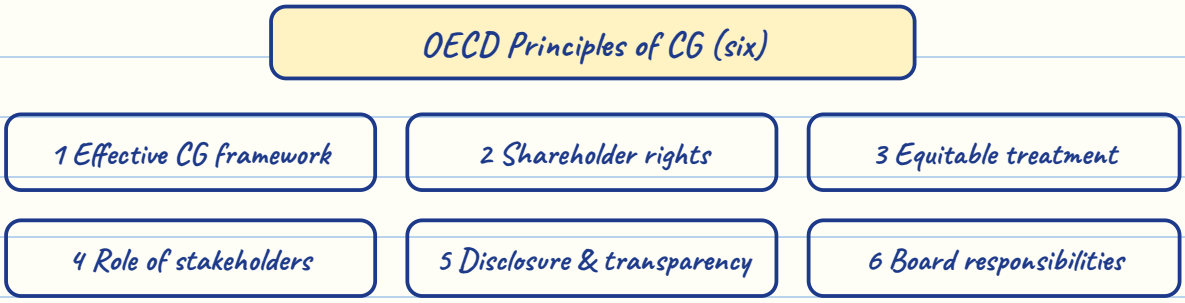
10. Corporate Governance Codes & Principles

Corporate governance (CG) = system by which companies are directed & controlled; balances interests of shareholders, management, board & stakeholders.

Four core principles (mnemonic: FTAR)

- **Fairness** – equal treatment of all shareholders incl. minority
- **Transparency** – timely, accurate disclosure
- **Accountability** – board answerable to shareholders
- **Responsibility** – towards law, society, environment, stakeholders

OECD Principles (1999; revised 2004; G20/OECD 2015)



(2015 version: adds institutional investors & markets; merges 2+3)
Non-binding, global benchmark for law & code makers

Fig 7: OECD six principles

Codes – timeline

Code / committee	Year	Highlights
Cadbury (UK)	1992	Board, audit cttee, separate chair & CEO; "comply or explain"
CII Code (India)	1998	First voluntary code of corporate governance
Kumar Mangalam Birla Cttee → **Clause 49**	1999/2000	SEBI: board composition, audit cttee, disclosures
Naresh Chandra / Narayana Murthy	2002 / 2003	Audit, auditor independence, whistle-blower, Clause 49 revised
Companies Act 2013 → **LODR 2015**	2013/15	Statutory CG; independent dirs, RPT, vigil, CSR
Uday Kotak Cttee	2017	Board effectiveness; separate chair/MD; more independence
UK Corporate Governance Code (FRC)	2010, 2018, 2024	Principles-based: leadership, purpose, remuneration, "comply or explain"

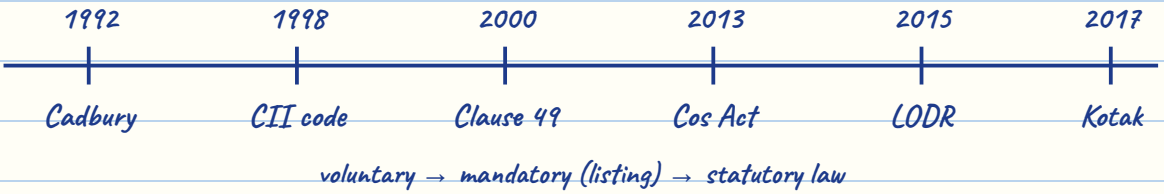


Fig 8: Evolution of CG codes (UK → India)

11. Law → Purpose → Year (one-glance table)

Law	Purpose	Year
Wildlife Protection Act	Species & habitat	1972
Water Act / Air Act	Pollution control	1974 / 1981
Forest Conservation Act	Stop forest diversion	1980
Environment (Protection) Act	Umbrella env. law	1986
Sale of Goods Act	Sale contracts	1930
Drugs & Cosmetics Act	Drug quality	1940
SCRA / SEBI Act	Securities market	1956 / 1992
Prevention of Corruption Act	Anti-bribery	1988
FSS Act (FSSAI)	Food safety	2006
Competition Act	Fair competition	2002
PMLA / FEMA	Laundering / forex	2002 / 1999
RTI Act	Transparency	2005
Companies Act	Company law	2013
POSH Act	Workplace harassment	2013
IBC	Insolvency	2016
Consumer Protection Act	Consumer rights	2019
DPDP Act	Personal data	2023
NGT Act / LLP Act	Green court / LLP	2010 / 2008

12. Quick Revision & Likely Exam Questions

★ Important

- Law = minimum, enforced by State; Ethics = higher, voluntary
- Polluter pays + Precautionary = core env. principles; Bhopal → EPA 1986
- Competition Act 2002: S.3 agreements, S.4 dominance, S.5–6 combinations
- CPA 2019: 6 rights, CCPA, product liability, e-commerce rules
- Co Act 2013: S.135 CSR, S.149 ID, S.166 duties, S.177 audit/vigil, S.188 RPT, S.447 fraud, S.245 class action
- OECD: 6 principles; CG: Clause 49 (2000) → LODR 2015; SOX 2002

2-mark questions

1. Define business ethics vs law.
2. What is polluter pays principle?
3. List six consumer rights.
4. What is a cartel / abuse of dominance?
5. Full form: CCPA, NFRA, SFIO, EPR, DPDP.
6. What is a vigil mechanism (S.177)?
7. Name any four OECD principles.
8. What is bait-and-switch?

5-mark questions

1. Differentiate law and ethics with examples.
2. Role of SEBI and CCI in ethical business.
3. Explain unfair trade practices under consumer law.
4. Directors' duties under S.166.
5. Discuss the Maggi case and lessons.
6. Explain compliance calendar and audit.
7. Features of LLP; SOX Act 2002.

10-mark questions

1. Explain agencies enforcing ethical business behaviour in India with roles.
2. Discuss environmental protection laws; role of Bhopal & Vizag cases.
3. Explain Competition Act 2002 & Consumer Protection Act 2019 as fair-trade tools.
4. Key features of Companies Act 2013 for ethics & governance.
5. Discuss securities & financial regulations; CG codes & OECD principles.

Mnemonic – CG principles: F-T-A-R (Fairness, Transparency, Accountability, Responsibility). **Consumer rights:** "S-I-C-H-R-E" = Safety, Info, Choice, Heard, Redressal, Education.

UNIT V – Corporate Governance

23AS2701a · Business Ethics & Corporate Governance · JNTUA R23 B.Tech

1. Introduction & Meaning

- Company = separate legal person → run by **directors**, owned by **shareholders**
- **Separation of ownership & control** → managers may act for self → need for checks
- Scams (Enron, Satyam...) showed weak governance = value destroyed
- Governance = **rules, practices & processes** that direct & control a company

Definitions

- **Cadbury Committee (UK, 1992):** **"system by which companies are directed and controlled"**
- **OECD:** set of relationships between management, board, shareholders & stakeholders; gives structure for objectives & monitoring
- **SEBI / Birla Cttee:** acceptance by management of shareholders' inalienable rights; enhancing long-term value

CG = Direction + Control + Accountability to stakeholders

Need for Corporate Governance

- Protect **shareholders' & minority** interests
- Prevent frauds, insider trading, misuse of power
- Attract **investors** (FII/FDI), lower cost of capital
- Globalisation → listing abroad needs global standards
- Ensure ethical conduct & social responsibility
- Sustainable growth, better risk management

2. Principles & Pillars

- **Fairness** → equal treatment of all shareholders incl. minority
- **Transparency** → timely, accurate disclosure of facts
- **Accountability** → board answerable to shareholders
- **Responsibility** → towards stakeholders, law, society
- Mnemonic: **F-T-A-R** (Fair, Transparent, Accountable, Responsible)

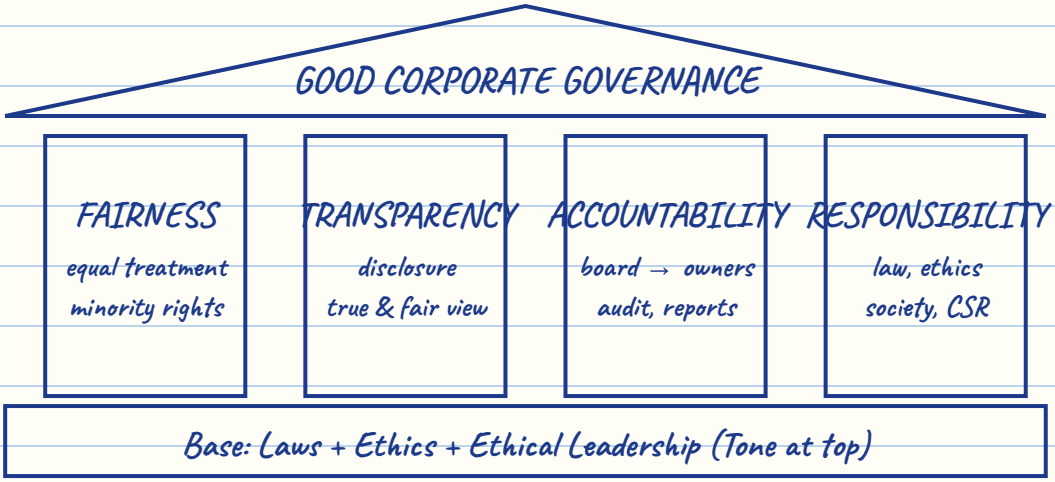


Fig 1: Principles / pillars of corporate governance

Theories of Corporate Governance (brief)

Theory	Idea	Implication
Agency (Jensen & Meckling)	Owner = principal, manager = agent; interests conflict	Monitoring, audit, incentives (ESOPs), independent directors
Stewardship (Donaldson & Davis)	Managers are trustworthy stewards of firm	Empower management; CEO-chair combined acceptable
Stakeholder (Freeman)	Firm owes duty to all groups, not only owners	CSR, employee/customer/community interest

Parties in Corporate Governance

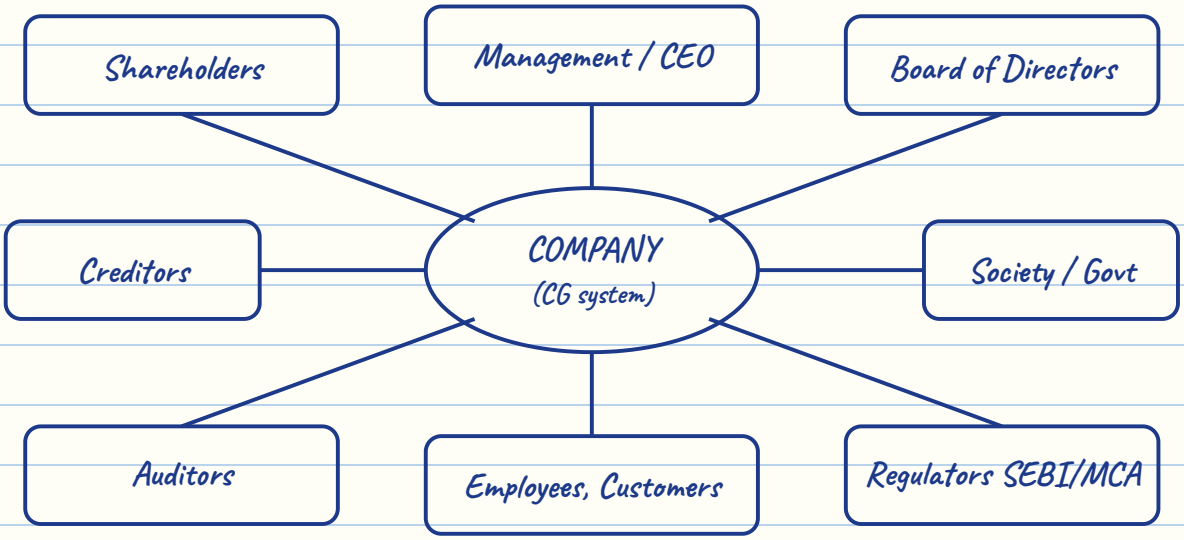


Fig 2: Parties / participants in corporate governance

3. Corporate Governance Code & Framework in India

➤ India = **mandatory + voluntary** mix, unlike UK "comply or explain"

- Sources: Companies Act 2013, SEBI Act 1992, SEBI LODR 2015, Ind AS, Secretarial Standards (SS-1, SS-2)

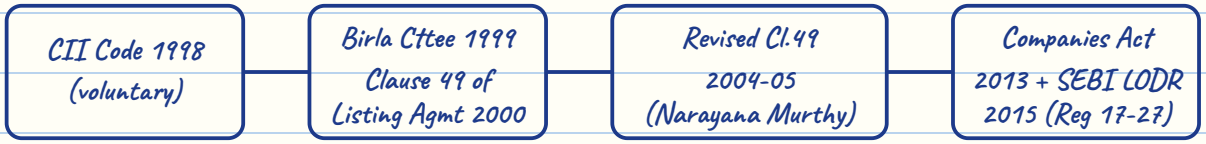


Fig 3: Evolution of India's corporate governance code

- **Clause 49** (2000): board composition, audit committee, CG report, CEO/CFO certification
- Replaced by **SEBI (LODR) Regulations 2015** – effective 1 Dec 2015
- **Companies Act 2013**: s.149 independent directors, s.177 audit cttee, s.178 NRC, s.135 CSR, s.188 related-party, s.177(9) vigil mechanism

4. Transparency & Disclosure

- **Transparency** = openness in decisions; **Disclosure** = making info public (what, when, how)
- Helps investors decide, deters fraud, builds trust

Disclosure tool	Content
Annual Report	Board's report, financials, auditor's report, notes
MD&A	Management Discussion & Analysis: industry, outlook, risks, opportunities
CG Report	Board, committees, meetings, remuneration, compliance (LODR)
Related-party	Transactions with promoters/subsidiaries; approval by audit cttee & shareholders
Financial	Quarterly results (within 45 days), audited annual results
XBRL	Electronic tagged filing of financials with MCA / stock exchanges
Insider info	UPSI & trading window: SEBI (PIT) Regulations 2015
Website	Policies, shareholding pattern, board details, investor contacts

★ Important

- Price-sensitive events → disclose promptly to exchanges (Reg 30 LODR)
- BRSR = non-financial disclosure on ESG (top 1000 listed cos)
- Satyam shows: no real disclosure = collapse

5. Role of Auditors

- Auditor = **watchdog** of shareholders; certifies "true & fair view"

Type	Role / Law
Statutory	Independent audit of financials, s.139-143; appointed by shareholders at AGM
Internal	Checks controls & risk, reports to audit cttee (s.138)
Cost	Cost records of specified industries, s.148
Secretarial	Compliance with corporate laws, s.204 (listed & large cos)

Auditor Independence – key safeguards

- **Rotation** (s.139): individual 5 yrs, firm 10 yrs (two terms of 5) for listed cos; **cooling-off** 5 yrs
- **Non-audit services barred** (s.144): accounting, internal audit, investment advice, etc.
- **Auditor's report** (s.143): opinion + **CARO 2020** (fixed assets, loans, fraud reporting)
- Auditor must report fraud to Central Govt (s.143(12))
- **NFRA** (2018, s.132): independent regulator for audit quality & discipline
- **ICAI**: professional body, sets Standards on Auditing

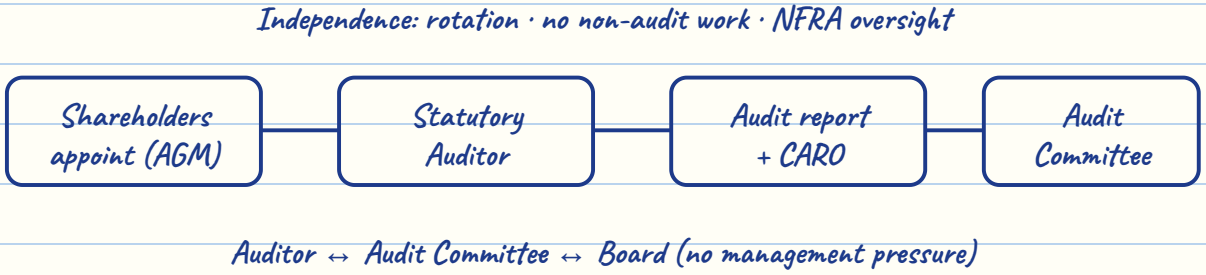


Fig 4: Audit chain and independence safeguards

Audit Committee (s.177 / Reg 18)

- ≥3 directors; **two-thirds independent** (LODR), chair independent; majority independent (Act)
- Reviews financials, auditor appointment/fees, internal controls, related-party deals, whistle-blower

6. Board of Directors

- Board = **apex body**; trustee of shareholders; sets strategy, supervises management

- **Executive** (full-time, e.g., MD/WTD) / **Non-executive** (no day-to-day role) / **Independent** (no pecuniary link, s.149(6))

Composition rules

- Listed co: ≥ **1/3 independent** directors (Companies Act)
- LODR Reg 17: ≥ 50% non-executive; if chairperson non-exec → ≥ 1/3 independent
- If chairperson is executive / promoter-related → **≥ 1/2 independent**
- **≥ 1 woman director**; top 1000 listed cos → ≥ 1 independent woman director
- Max 15 directors (more by special resolution); independent director term 5 yrs ×2 (max 10 yrs)
- Board meets ≥ 4 times a year, gap ≤ 120 days

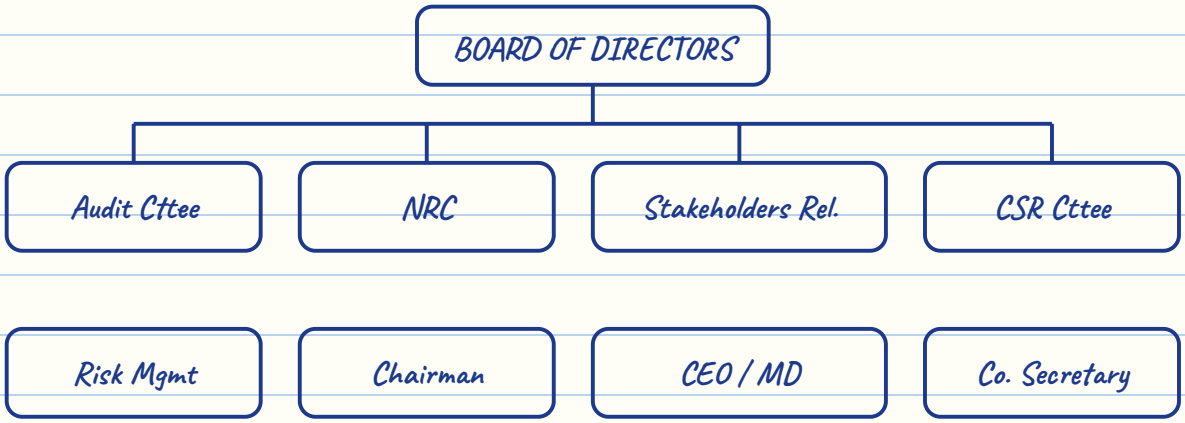


Fig 5: Board and its committees

Committee	Key points
Audit	Financial reporting, internal control, auditors
NRC	Nomination & Remuneration: selects directors/KMP, pay policy, board evaluation (s.178); ≥ ½ independent
Stakeholders Relationship	Grievances of shareholders; chaired by non-exec director
CSR	3+ directors incl. 1 independent; CSR policy (s.135)
Risk Management	Risk framework, cyber security (top 1000 listed cos)

Roles & duties (s.166)

- Act in good faith, due care, skill & diligence; avoid conflict of interest
- No undue gain; do not assign office; exercise independent judgment
- Strategy, policies, risk, appointing KMP, ensuring compliance
- **Separation of Chairman & CEO** → checks concentration of power (Cadbury; Kotak cttee)
- **Board diversity**: gender, skills, age, experience → better decisions

- **Board evaluation**: annual self-evaluation of board, committees, directors (s.134(3)(p)); independent directors meet once a year (Sch IV)

7. Shareholders

Rights	Activism & protection
Vote at AGM, e-voting, proxy	**Shareholder activism**: voting against, questions, litigation
Dividends, transfer of shares	**Institutional investors** (MFs, LIC, FIIs) = strong monitors
Inspect records, get annual report	**Proxy advisors** (IiAS, SES, ISS): advise voting; SEBI-regulated since 2020
Appoint auditors & directors	**Stewardship Code** (SEBI 2019) for MFs/AIFs/insurers
Approve major decisions (RPTs, mergers)	**Minority protection**: s.241-242 oppression & mismanagement (NCLT), class action s.245, small-shareholder director

- **AGM**: once a year, within 6 months of FY end; notice 21 clear days
- **E-voting** (s.108): listed cos let shareholders vote remotely → wider participation
- Duty of shareholders: informed voting, not passive

8. Global Issues in Corporate Governance

- **Globalisation** → cross-listing, MNCs, capital flows need uniform standards
- **Convergence** of codes (OECD, UK, King, SOX) towards common principles
- **IFRS vs Ind AS**: Ind AS = India's converged standards (largely IFRS-aligned, with carve-outs); aids comparability
- **Cross-border scams**: Wirecard, Lehman → need for regulator cooperation (IOSCO)
- **ESG & sustainability**: climate, social, governance; BRSR (SEBI) mandatory for top 1000 listed cos
- **Board diversity** (gender, culture) – global push
- **Cyber risk** & data privacy → board responsibility
- Executive pay, activism, whistle-blowing, family/promoter control

9. Accounting & Regulatory Framework

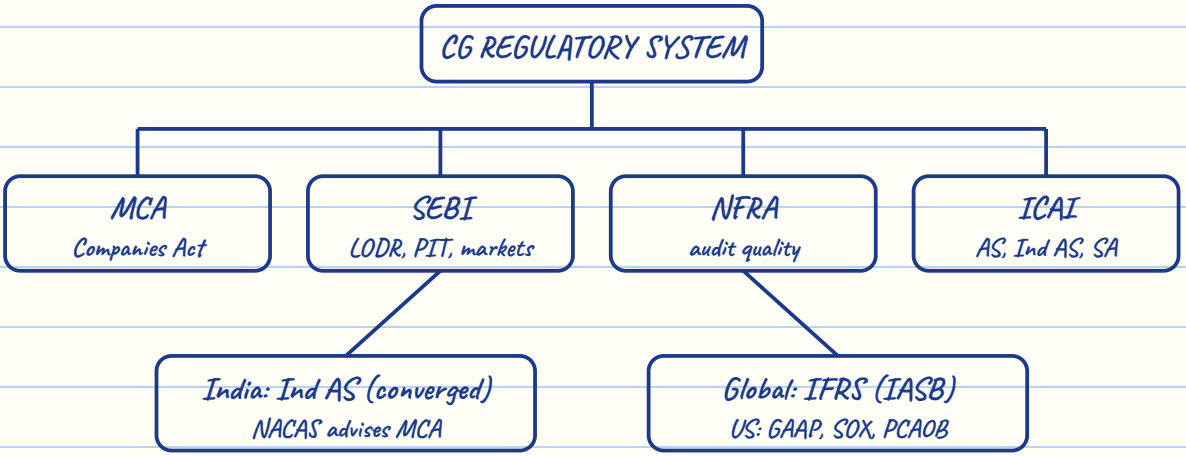


Fig 6: Accounting & regulatory framework

- **MCA** → Companies Act 2013, ROC, SFIO (fraud probe), NCLT
- **SEBI** → listed cos, LODR, insider trading, takeovers
- **ICAI** → accounting & auditing standards; **NFRA** → enforcement
- **SOX 2002 (USA)** → **PCAOB** oversees auditors of public companies
- **IFRS** by IASB → used in 140+ jurisdictions (approx.)

10. Corporate Scams – Case Table

Case	What happened / why	Lesson
Enron 2001 (USA)	Hid debt via SPEs, inflated profits; bankruptcy; auditor **Arthur Andersen** collapsed (shredding docs)	Auditor independence → SOX 2002
WorldCom 2002	Line costs capitalised as assets; profits overstated by billions; CEO Ebbers jailed	Internal audit, CEO/CFO certification
Lehman 2008	Excess leverage; "Repo 105" to hide debt; largest US bankruptcy	Risk mgmt, Dodd-Frank 2010
Satyam 2009	**B. Ramalinga Raju** confessed to ~Rs 7,000 cr fake cash/profits; auditor PwC faulted	Independent directors, audit, whistle-blower; NFRA idea
Harshad Mehta 1992	Bank-receipt (BR) & repo fraud used inter-bank funds in stocks; ~Rs 4,000-5,000 cr	SEBI given statutory powers (1992)
Ketan Parekh 2001	Price rigging "K-10" stocks, circular trades, bank funds	Surveillance, margin rules, carve-out of badla
Kingfisher / Mallya	Huge bank loans (~Rs 9,000 cr) defaulted; promoter fled	Lender due diligence; Fugitive Economic Offenders Act 2018
PNB–Nirav Modi 2018	Fraudulent LoUs via SWIFT; ~Rs 11,000+ cr; weak bank controls	Bank internal control, auditor/CBS checks
IL&FS 2018	Debt defaults (~Rs 90,000 cr); poor board oversight, rating & audit lapses; govt superseded board	NBFC governance, auditor accountability
Tata–Mistry 2016	Chairman Cyrus Mistry removed; promoter vs board power; SC ruled for Tata (2021)	Promoter-board relation, minority rights
Carillion 2018 / Wirecard 2020	UK builder aggressive accounting; German fintech missing ~€1.9 bn	Auditor scrutiny, regulator failure

★ *Important*

- Common causes: greed, weak board, auditor failure, promoter dominance, no whistle-blowing
- Mnemonic: **E-W-L-S** = Enron, WorldCom, Lehman, Satyam

II. Committees on Corporate Governance

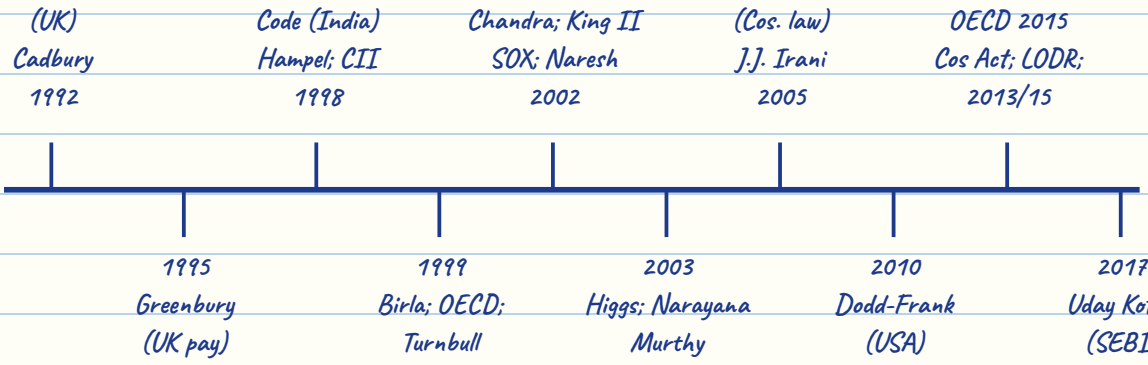


Fig 7: Timeline of major committees & codes

Indian Committees

Committee (Year)	Chair / Body	Key recommendations
CII Code (1998)	Rahul Bajaj; CII	First voluntary code: ≥⅓ non-exec directors, audit cttee, info to board, limit on directorships
Kumar Mangalam Birla (1999)	SEBI	Mandatory/non-mandatory recs; ≥ ½ non-exec; audit cttee (3 non-exec); CG report → **Clause 49 (2000)**
Naresh Chandra (2002)	Dept of Company Affairs	Auditor-company relationship, rotation of audit partners, disqualification of auditors, board & audit cttee roles
Narayana Murthy (2003)	SEBI	Audit cttee strengthening, whistle-blower policy, related-party disclosure, risk reporting, training of directors → revised Cl.49
J.J. Irani (2005)	Ministry of Corporate Affairs	Overhaul of company law: simpler law, independent directors, shareholders' democracy → **Companies Act 2013**
Uday Kotak (2017)	SEBI	Min 6 directors in top-500 cos; independent woman director; separate chairman & CEO; board evaluation; stronger ID role; RPT curbs; shareholder voting

Committees & Laws Abroad

Cadbury Committee, UK (1992)

- Chair: **Sir Adrian Cadbury**; formed after Polly Peck, BCCI, Maxwell scandals
- Report: Financial Aspects of Corporate Governance + Code of Best Practice
- **Separate Chairman & CEO** roles
- Min 3 **non-executive directors** (mostly independent)
- Formation of **audit, nomination, remuneration committees**
- Directors' report on internal control & going concern
- **"Comply or explain"** – listed cos disclose compliance

Report / Law	Focus
Greenbury 1995 (UK)	Directors' remuneration: remuneration cttee of NEDs, disclose pay
Hampel 1998 / **Combined Code**	Review of Cadbury & Greenbury; principles over rules; merged into Combined Code (1998)
Turnbull 1999	Internal control & risk guidance for directors
Higgs 2003 (+Smith)	Role of NEDs (half board independent); Smith = audit committees
UK CG Code	Issued by FRC (renamed 2010; updated 2018, 2024); comply or explain
OECD Principles 1999, 2004, 2015	Shareholder rights, equitable treatment, stakeholders, disclosure, board responsibilities (G20/OECD 2015)
King Reports (S. Africa)	King I 1994, II 2002, III 2009, IV 2016 (Mervyn King); inclusive stakeholder approach; "apply and explain" (IV)
Dodd-Frank 2010 (USA)	Post-2008: say-on-pay, whistle-blower rewards, systemic risk, consumer protection

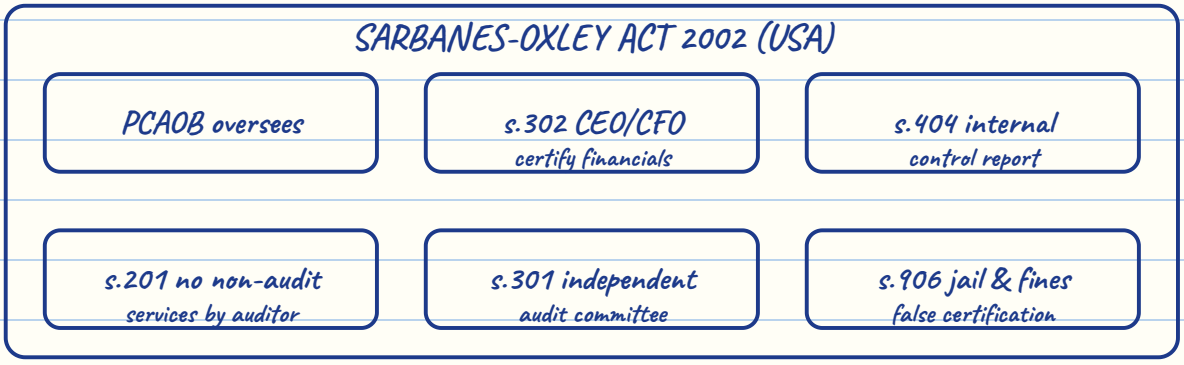


Fig 8: Key provisions of Sarbanes-Oxley Act 2002

- SOX also: lead audit partner rotation every 5 yrs; whistle-blower protection; PCAOB registers & inspects audit firms

12. Corporate Social Responsibility (CSR)

- **CSR** = business contributing to society beyond profit (triple bottom line: people, planet, profit)
- **Section 135 + Schedule VII**, Companies (CSR Policy) Rules 2014 (in force 1 Apr 2014)
- Applies if: net worth ≥ Rs 500 cr **or** turnover ≥ Rs 1000 cr **or** net profit ≥ Rs 5 cr
- **2% rule**: spend ≥ 2% of average net profit of preceding 3 years
- CSR committee (≥3 directors, ≥1 independent); board approves policy
- Areas: education, health, hunger, environment, rural dev, women empowerment
- Unspent amount → transferred to special account / fund (2021 amendment); disclosure in Board report
- Examples: Tata Trusts, Infosys Foundation, Reliance Foundation, Wipro

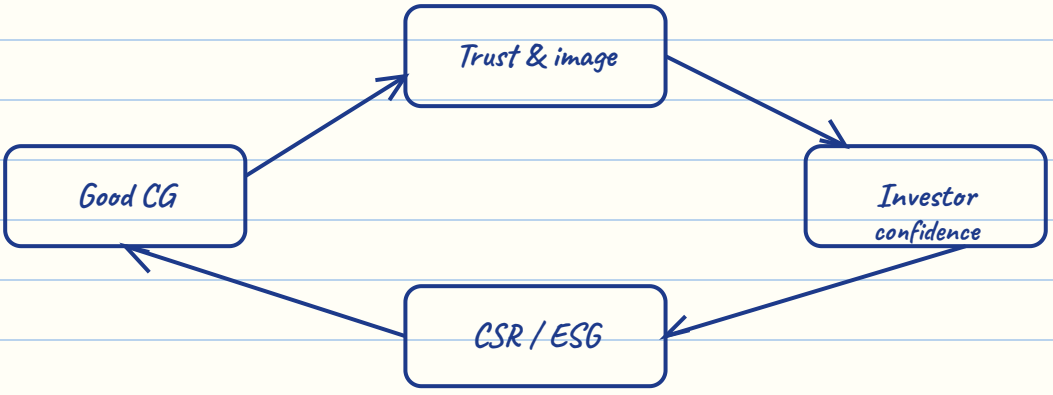


Fig 9: CSR – governance cycle (CG → CSR → reputation → capital → CG)

- CSR = **ethical face** of governance; board owns CSR; transparency in impact reporting

13. Benefits & Limitations

Benefits	Limitations
Investor confidence ↑	High compliance **cost** & time
Lower cost of capital	**Box-ticking** (form over substance)
Transparency & fewer frauds	**"One size fits all"** – burden on small cos
Better risk management	Cannot fully stop fraud (Satyam had ID's!)
Good reputation, brand	Independence of directors doubtful (promoter-picked)
Global market access (FPI, listing)	**Promoter dominance** in India's family firms
Long-term sustainability	Over-regulation may slow decisions

14. Quick Revision & Likely Exam Questions

★ Important

Remember

- Cadbury 1992 = "directed & controlled"; comply or explain
- Birla 1999 → Clause 49 (2000) → LODR 2015
- Murthy 2003 / Naresh Chandra 2002 / Irani 2005 / Kotak 2017
- SOX 2002: s.302, s.404, PCAOB / Dodd-Frank 2010
- 1/3 independent; 1/2 if executive chair; ≥1 woman
- CSR: s.135, 2% of 3-yr avg profit / NFRA 2018

2-Mark Questions

1. Define corporate governance (Cadbury).
2. List the four principles of CG.
3. What is Clause 49?
4. Who is an independent director?
5. Expand NFRA, PCAOB, BRSR, MD&A.
6. What is "comply or explain"?
7. State the CSR spending rule under s.135.

5-Mark Questions

1. Explain principles / theories of corporate governance.
2. Discuss transparency & disclosure requirements.
3. Role of auditors; rotation & independence.
4. Board composition and committees under LODR.
5. Write short notes: Cadbury / Birla / Kotak / SOX.
6. Benefits and limitations of CG.

10-Mark Questions

1. Explain the evolution of corporate governance in India with committees & recommendations.
2. Discuss any three corporate scams (Enron, Satyam, PNB) – causes & lessons.
3. Roles of board, shareholders & auditors in effective governance; global issues.
4. Explain Cadbury, Greenbury, OECD, SOX & King reports.